INSURANCE AND PENSIONS COMMISSION (IPEC)

SHORT TERM (NON-LIFE) INSURANCE REPORT

FOR THE QUARTER ENDED 31 MARCH 2015

Table of Contents

List of Figures....................4

Executive Summary....................6

1. Architecture of the Non-Life Insurance Industry....................7

SECTION A....................8

2. Short-Term (Non-Life) Insurance Companies....................8

2.1. Performance in Terms of Business Written....................9

2.2. Capitalization....................11

2.3. Asset Quality....................13

2.4. Reinsurance....................15

2.5. Actuarial Matters....................17

2.6. Earnings....................17

2.7. Liquidity....................19

2.8. Market Share for Non-Life Insurers....................19

SECTION B....................21

3. Reinsurance Companies....................21

3.1. Performance in Terms of Business Written....................22

3.2. Capitalization....................24

3.3. Asset Quality....................25

3.4. Retrocession....................27

3.5. Actuarial Matters....................29

3.6. Earnings....................29

3.7. Liquidity....................31

3.8. Market Share for Reinsurers....................31

SECTION C....................33

4. Insurance Brokers....................33

4.1 Business Written....................34

4.2 Capitalization....................35

4.3 Asset Quality....................36

4.4 Earnings 37

4.5 Market Share for Insurance Brokers 37

SECTION D 39

5. Reinsurance Brokers 39

5.1 Business Written 40

5.2 Capitalization 40

5.3 Asset Quality 41

5.4 Earnings for Reinsurance Brokers 41

5.5 Market Share for Reinsurance Brokers 41

SECTION E 42

6. Appendices 42

List of Figures

Figure 1: Trend in Business Written During the First Quarter Since 2010....................................9
Figure 2: Distribution of Insurers' Gross Premium Written by Business Class............................11
Figure 3: Trend in Total Assets 13
Figure 4: Distribution Non-life Insurers' Total Assets 14
Figure 5: Retention Ratios for Short Term Insurance Companies 15
Figure 6: Non-life Insurers' Average Retention Ratios for Different Classes of Business............16
Figure 7: Market Share for Insurers in Terms of GPW and NPW 20
Figure 8: Market Share for Insurers in Terms of Total Assets 20
Figure 9: Trend in Business Written During the First Quarter Since 2010..................................22
Figure 10: Distribution of Reinsurers' GPW by Business Class...24
Figure 11: Trend in Total Assets...26
Figure 12: Breakdown of Non-life Reinsurers' Total Assets..26
Figure 13: Retention Ratios for Reinsurers 27
Figure 14: Retention Ratios by Class of Insurance Business 28
Figure 15: Market Share for Reinsurers in Terms of GPW and NPW 32
Figure 16: Market Share for Reinsurers in Terms of Total Assets 32
Figure 17: Distribution of Insurance Brokers' Gross Premium Written by Business Class 35
Figure 18: Distribution of Insurance Brokers' Total Assets...37
Figure 19: Market Share in Terms of Net Brokerage Income and Premium Written..................38
Figure 20: Market Share for Insurance Brokers in Terms of Total Assets...................................38

List of Tables

Table 1: Architecture of the Non-life Insurance Industry 7

Table 2: Non-life Insurers' Gross Premium Written by Class of Business..................................10

Table 3: Reported Capital Positions for Non-life Insurers...12

Table 4: Loss Ratios by Class of Business for Short Term Insurers 18

Table 5: Reinsurers' Gross Premium Written by Class of Business 23

Table 6: Capital Positions for Non-life Reinsurers 25

Table 7: Loss Ratios by Class of Business for Reinsurers...30

Table 8: Indicators of Business Written for Insurance Brokers 34

Table 9: Reported Capital Levels for Insurance Brokers 35

Table 10: Indicators of Business Written for Reinsurance Brokers 40

Table 11: Capital Levels for Reinsurance Brokers..41

Table 12: Market Share for Reinsurance Brokers..41

List of Acronyms and Abbreviations

DAC	-	Deferred Acquisition Cost
GPW	–	Gross Premium Written
IBNR	–	Incurred But Not Reported
IPEC/Commission	–	Insurance and Pensions Commission
NEP	–	Net Earned Premium
NPW	–	Net Premium Written
O/S Claims	-	Outstanding Claims
ROA	-	Return on Assets
ROE	–	Return on Equity
UCR	-	Unearned Commission Reserve
UPR	–	Unearned Premium Reserve

Note: Unless stated otherwise, all monetary figures are in United States Dollars.

Executive Summary

This report details the performance and developments that took place in the non-life insurance sector during the quarter ended 31 March 2015. The number of registered players, including insurance agents, was 585 as at 31 March 2015. Total gross premium written by non-life insurers amounted to $70.89 million for the quarter ended 31 March 2015 reflecting a marginal decrease from $71.21 million reported for the comparative period in 2014. Gross premium written amounting to $26.73 million was generated by insurance brokers. Non-life reinsurers reported business worth $28.82 million for the quarter under review compared to $28 million reported for the quarter ended 31 March 2014. Reinsurance brokers generated business worth $18.91 million on behalf of reinsurers. Motor and fire insurance remained the dominant classes of insurance in the non-life insurance sector. A total of four (4) registered insurance companies and one reinsurer were not compliant with the regulatory minimum capital requirement of $1.5 million as at 31 March 2015. Out of the entities non-compliant with minimum capital requirements, four (4) had since been suspended from initiating and renewing new business at the time of compiling this report. Total assets for the non-life insurance sector amounted to $364.46 million compared to $329.9 million reported as at 31 December 2014. The increase in total assets was mainly driven by an increase in premium debtors. The industry average prescribed assets ratio for non-life insurers was 1.39% as at 31 March 2015. Non-life reinsurers, on the other hand, reported an industry average prescribed assets ratio of 2.96% as at 31 March 2015. There were no significant changes in the profitability of both direct non-life insurers and reinsurers with marginal changes being witnessed in the return on equity and return on assets during the quarter under review.

1. Architecture of the Non-Life Insurance Industry

The non-life insurance industry had a total of five hundred and eighty five (585) registered players in different categories as at 31 March 2015, as shown in Table 1 below.

Table 1: Architecture of the Non-life Insurance Industry

Type of Institution	Number of Registered Entities			Number of Suspended/ Non-Operating Entities
	30 Sep 14	31 Dec 14	31 Mar 2015	31 Mar 15
Insurance Companies	25	25	24	3
Reinsurance Companies	9	9	9	1
Insurance Brokers	31	31	32	4
Reinsurance Brokers	5	5	5	-
Loss Assessors	17	19	21	-
Corporate Agents	90	100	115	-
Sole Agents	320	350	379	-
Total	**497**	**539**	**585**	**8**

During the quarter under review the Commission deregistered Altfin Insurance Company. In addition to Export Credit Guarantee Corporation (ECGC), two more insurers, Global Insurance Company and KMFS Insurance Company as well as one reinsurer namely New Reinsurance Company of Harare respectively were suspended from initiating as well as renewing business during the quarter under review. Excellence Insurance Company had also been suspended from initiating and renewing business at the time of finalizing this report.

Following the registration of Nationwide Insurance Brokers during the quarter under review, the number of registered insurance brokers was thirty two (32) as at 31 March 2015. Excel Risk Solutions, Nationwide Insurance Brokers, Navistar Insurance Brokers, and Revival Insurance brokers were not operational as at 31 March 2015. However, as at the time of finalising this report, Nationwide Insurance Brokers had commenced operations after conduct of a preopening inspection which determined that the broker was ready to start operating.

SECTION A

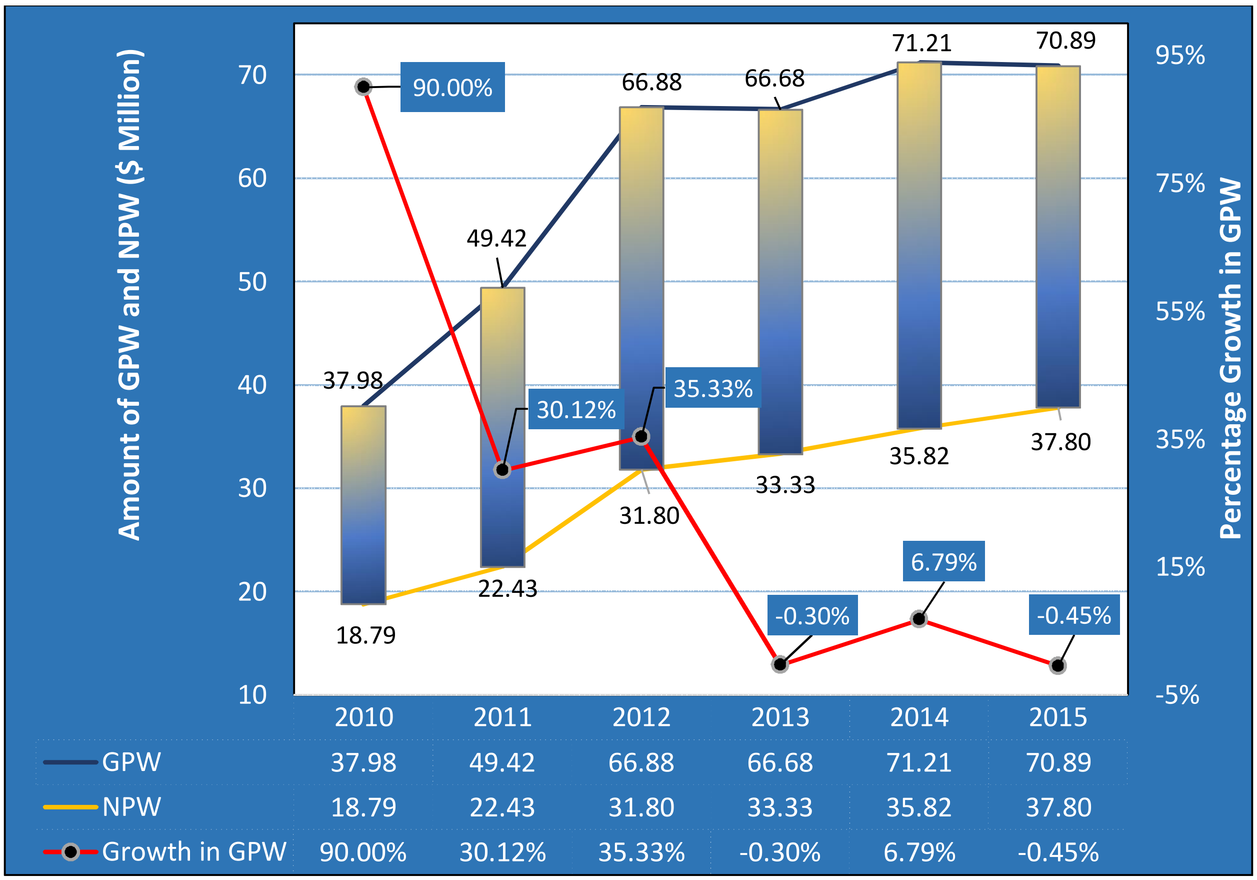
2. SHORT-TERM (NON-LIFE) INSURANCE COMPANIES

Please note that the analysis of performance of the non-life insurance sector does not include statistics for companies which are under suspension. Appendix 1A-C has detailed statistics for the non-life insurers.

2.1. Performance in Terms of Business Written

The volume of business written by non-life insurance companies remained largely unchanged with a negligible decrease of 0.45% in total Gross Premium Written (GPW) from $71.21 million for the quarter ended 31 March 2014 to $70.89 for the quarter ended 31 March 2015. The dampened growth in the business written by insurers is attributable to the economic hardships that were being experienced during the quarter under review. Figure 1 below shows the trend in the volume of business since 2010.

Figure 1: Trend in Business Written During the First Quarter Since 2010



Although the non-life insurance industry recorded negative growth in total GPW, significant growth was recorded in hail, miscellaneous accident and bonds/guarantees insurance as shown in Table 2 below. These rapidly growing classes of business, in particular, hail and bonds/guarantee insurance are generally characterized by less frequent but severe claims which call for insurers to have good risk management systems in place.

Table 2: Non-life Insurers' Gross Premium Written by Class of Business

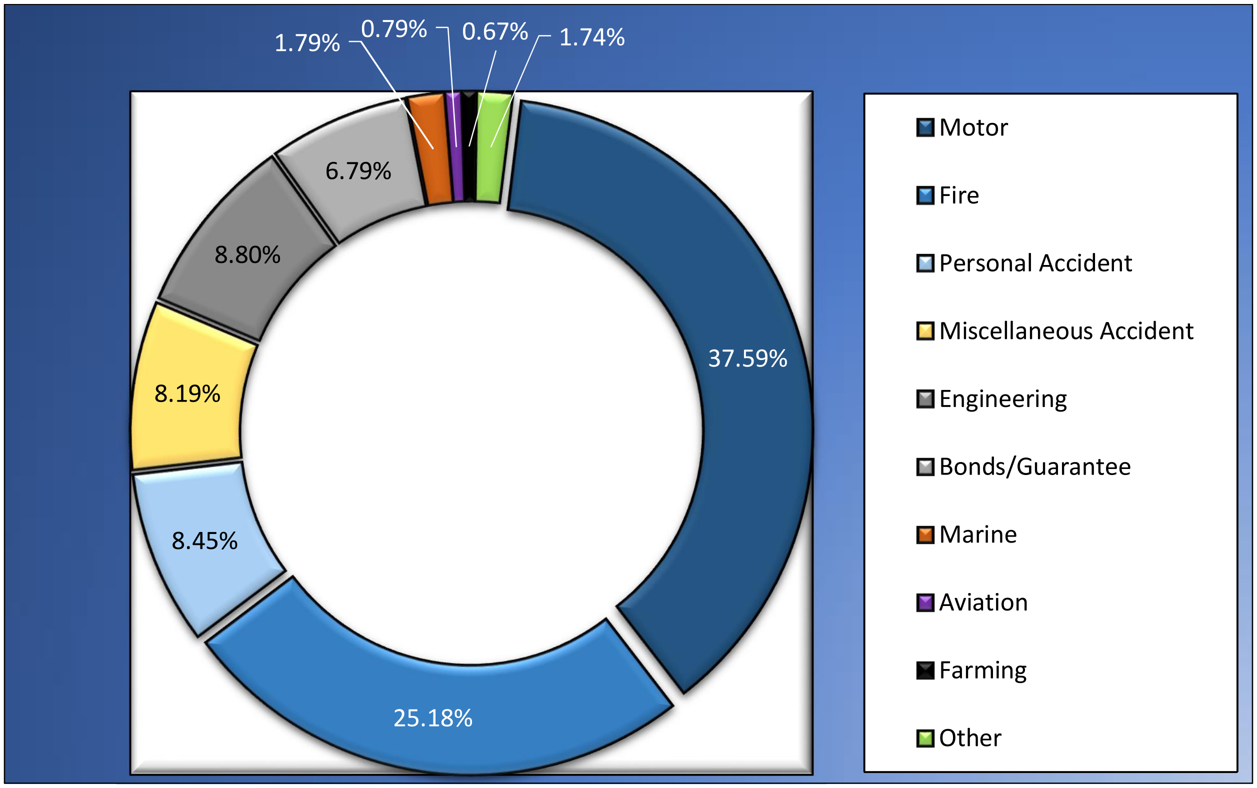
Class of Business	Gross Premium Written ($)		Percentage Change
	31 March 2014	31 March 2015	
Aviation	513,455	558,623	8.80%
Bonds/Guarantee	3,787,573	4,816,226	27.16%
Engineering	6,272,250	6,241,090	-0.50%
Farming	1,362,176	474,477	-65.17%
Fire	17,583,605	17,851,290	1.52%
Hail	32,244	443,381	1,275.08%
Health	184,200	13,950	-92.43%
Credit/Hire Purchase	544,962	425,073	-22.00%
Marine	1,309,707	1,267,558	-3.22%
Miscellaneous Accident	3,780,522	5,807,449	53.62%
Motor	27,185,100	26,648,906	-1.97%
Personal Accident	7,730,608	5,990,848	-22.50%
Personal Liability	940,996	791,597	-15.88%
Total	**71,227,398**	**70,887,087**	**-0.48%**

The distribution of business generated across different classes of insurance remained largely unchanged with motor and fire insurance remaining the dominant classes of business. The two business classes accounted for a total of 62.79% of total gross premium written for the quarter ended 31 March 2015 compared to 62.86% reported in the comparative period in 2014.

Notably the largest class of business i.e. fire insurance, recorded a decrease in gross premium written as shown in Table 2 above. This may be an indication that, the number of uninsured vehicles increased or migrated from comprehensive to third party insurance. It may also imply that there was increased undercutting of rates.

Figure 2 below shows the distribution of business generated for the quarter ended 31 March 2015 in different classes of insurance.

Figure 2: Distribution of Insurers' Gross Premium Written by Business Class



2.2. Capitalization

Apart from the insurers that were under suspension as at 31 March 2015, only two (2) insurers namely Clarion Insurance Company and Excellence Insurance Company reported capital positions which were not compliant with the minimum capital requirement of $1.5 million for non-life insurers. Table 3 below shows the capital positions reported by all operational non-life insurers as at 31 March 2015.

The industry average solvency ratio for direct non-life insurers was 68.38% as at 31 March 2015 compared to 63.59% that was reported as at 31 December 2014. All the non-life insurers reported solvency margins which were above the prudential minimum of 25% stipulated in section 24 of the Insurance Act.

The Commission shall be conducting evaluation of compliance with minimum capital requirements and solvency margin in terms of Circular 1 of 2014, in due course. Insurers should therefore ensure that they conduct self-assessments and address any irregularities in the nature and composition of their capital timeously.

Table 3: Reported Capital Positions for Non-life Insurers

Name of Insurance Company	Reported Capital Position ($)			
	31-Dec-13	30-Sep-14	31-Dec-14	31-Mar-15
1. Alliance Insurance Company	4,009722	4,499,490	4,485,839	4,746,936
2. Allied Insurance Company	741,791	1,564,454	1,723,713	1,704,201
3. C.B.Z Insurance Company	1,612,651	1,813,952	2,127,248	3,288,131
4. Cell Insurance Company	2,311,187	2,422,370	2,333,899	2,732,241
5. Champions Insurance Company	1,396,315	1,969,114	1,900,067	2,240,178
6. Clarion Insurance Company	1,175,794	1,573,050	1,273,200	1,440,340
7. Credit Insurance Zimbabwe	3,060,021	2,477,977	2,678,341	2,594,571
8. Eagle Insurance Company	3,556,696	4,124,888	4,664,093	4,847,408
9. Evolution Insurance Company	1,411,499	2,320,500	1,526,129	1,588,426
10. Excellence Insurance Company	45,400	749,625	141,821	286,847
11. Hamilton Insurance Company	639,578	2,051,314	2,152,955	2,178,038
12. Heritage Insurance Company	1,166,281	3,592,294	2,119,418	3,748,145
13. Nicoz Diamond Insurance Company	9,727,621	10,422,000	10,822,503	11,212,000
14. Old Mutual Insurance Company	11,596,571	13,896,371	14,433,261	16,134,014
15. Quality Insurance Company	1,376,118	1,513,000	1,500,000	1,503,000
16. Regal Insurance Company	2,580,907	2,716,304	2,857,897	2,948,221
17. Safel Insurance Company	1,405,056	1,335,430	1,607,434	1,714,647
18. Sanctuary Insurance Company	615,295	1,301,036	1,653,567	1,574,985
19. THI Insurance (Pvt) Ltd	3,961,574	3,589,398	4,832,078	4,513,792
20. Tristar Insurance Company	922,615	1,701,718	1,533,628	1,575,593
21. Zimnat Lion Insurance Company	2,627,224	4,575,936	4,713,426	5,291,623

Key:

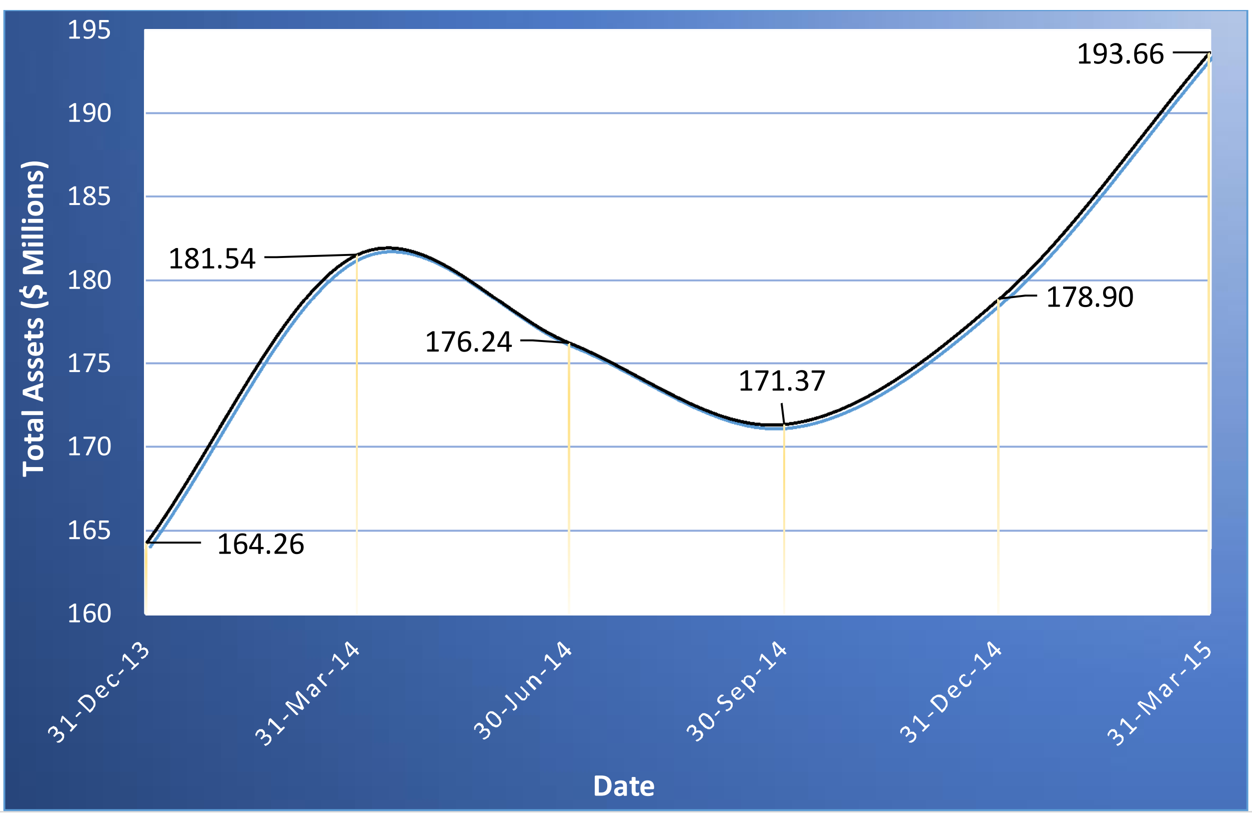
(green)	The insurer reported a capital position that was compliant with the minimum capital requirement of $1.5 million for non-life insurers.
(red)	The insurer reported a capital position which was not compliant with the minimum capital requirement of $1.5 million.

2.3. Asset Quality

Direct non-life insurers recorded an 8.25% growth in total assets from $178.90 million as at 31 December 2014 to $193.66 million as at 31 March 2015 as shown in Figure 3 below. The growth in the non-life insurers' total assets was mainly driven by increases in total premium debtors and money market investments. Total premium debtors increased by $7.94 million from $39.21 million as at 31 December 2014 to $47.14 million as at 31 March 2015. On the other hand, money market investments increased by $4.97 million from $34.60 million as at 31 December 2014 to $39.57 million as at 31 March 2015.

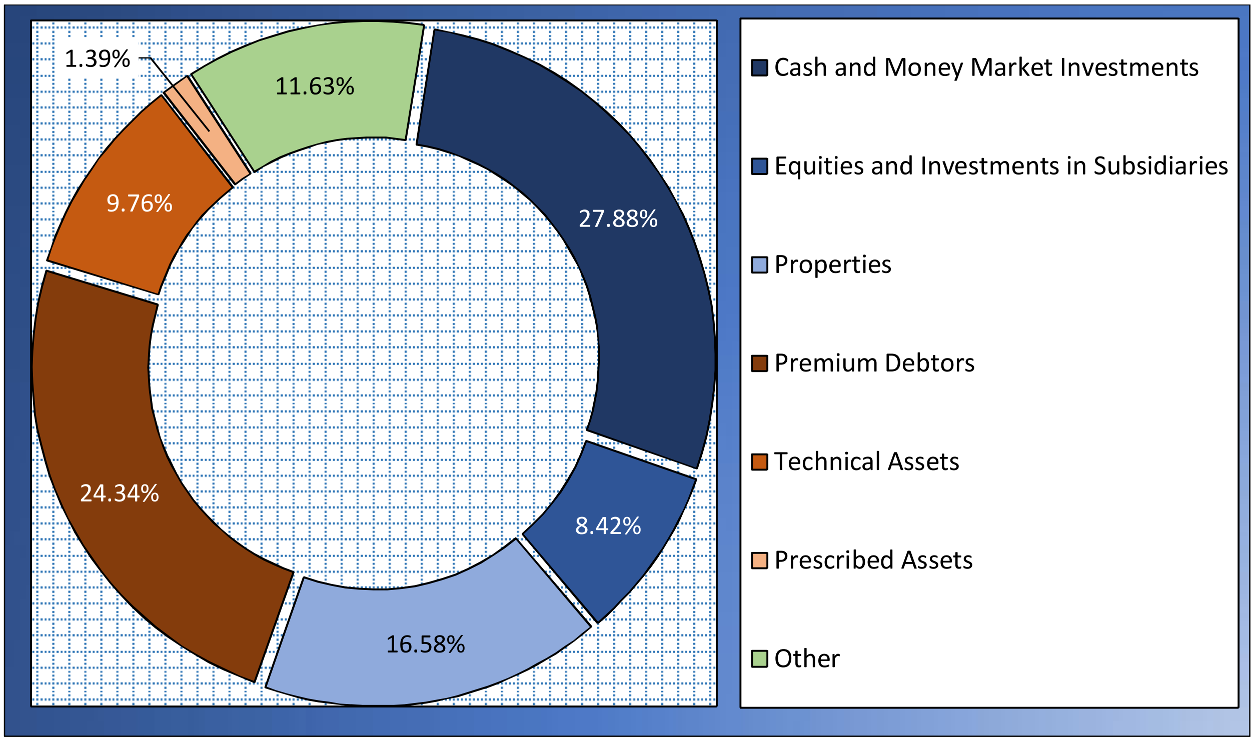
Whilst the Commission welcomes an increase in money market investments which will boost the insurers' capability to enhance their ability to pay claims, the growth in total assets driven by premium debtors is not sustainable given that some policyholders may end up defaulting on premium payment. The increase in the total assets noted during the quarter under review is in line with the pattern that has been observed over the years where total assets generally continue on an upward trend for six months, from October annually.

Figure 3: Trend in Total Assets



The asset base of direct non-life insurers was mainly skewed towards cash and money market investments as well as premium debtors which accounted for 27.88% and 24.34% of total assets respectively as at 31 March 2015 as shown in Figure 4 below.

Figure 4: Distribution Non-life Insurers' Total Assets



NB: Technical assets refers to reinsurers' share of outstanding claims and deferred acquisition cost.

Even though, the distribution of total assets across different asset classes was considered fair, the proportion of total assets attributable to properties i.e. 16.58%, was significantly above the prudential maximum of 10% stipulated in Circular 2 of 2013. In addition, the Commission noted, with concern, cases where individual insurers had their assets concentrated in one asset class such as properties, unquoted equities and related party exposures, exposing the said insurers to concentration risk.

Further, the proportion of total assets attributable to premium debtors was considered to be still too high to enable insurers to significantly grow their insurance funds, notwithstanding the slight improvement in premium debtors to total assets ratio from 25.58% as at 31 March 2014 to 24.34 as at 31 March 2015.

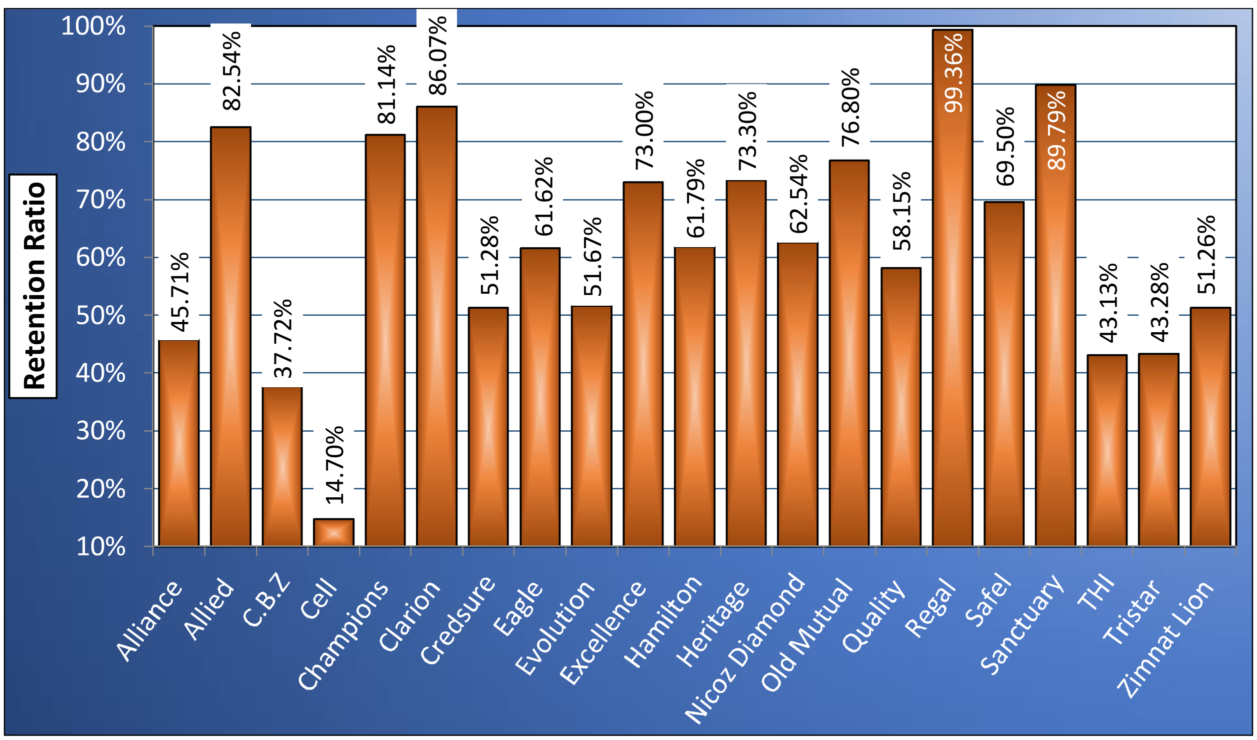
In light of the regulatory concerns in respect of the distribution of total assets raised above, it can be implied that the assets and liabilities of some insurers were not appropriately matched as at 31 March 2015. Such a situation compromises the ability of insurers to meet their obligations as they fall due, including claims.

The proportion of total assets attributable to prescribed assets remained low at 1.39% as at 31 March 2015, indicating a 3.61% shortfall from the prudential minimum of 5%. A total of eleven (11) out of the operating insurers had investments in prescribed assets as at 31 March 2015.

2.4. Reinsurance

The industry average retention ratio for non-life insurers was 53.33% for the quarter ended 31 March 2015 compared to 50.3% reported for the comparative period in 2014, indicating a marginal increase in risk appetite. As shown in Figure 5 below, the retention ratios for individual insurers ranged from 14.70% to 99.36%.

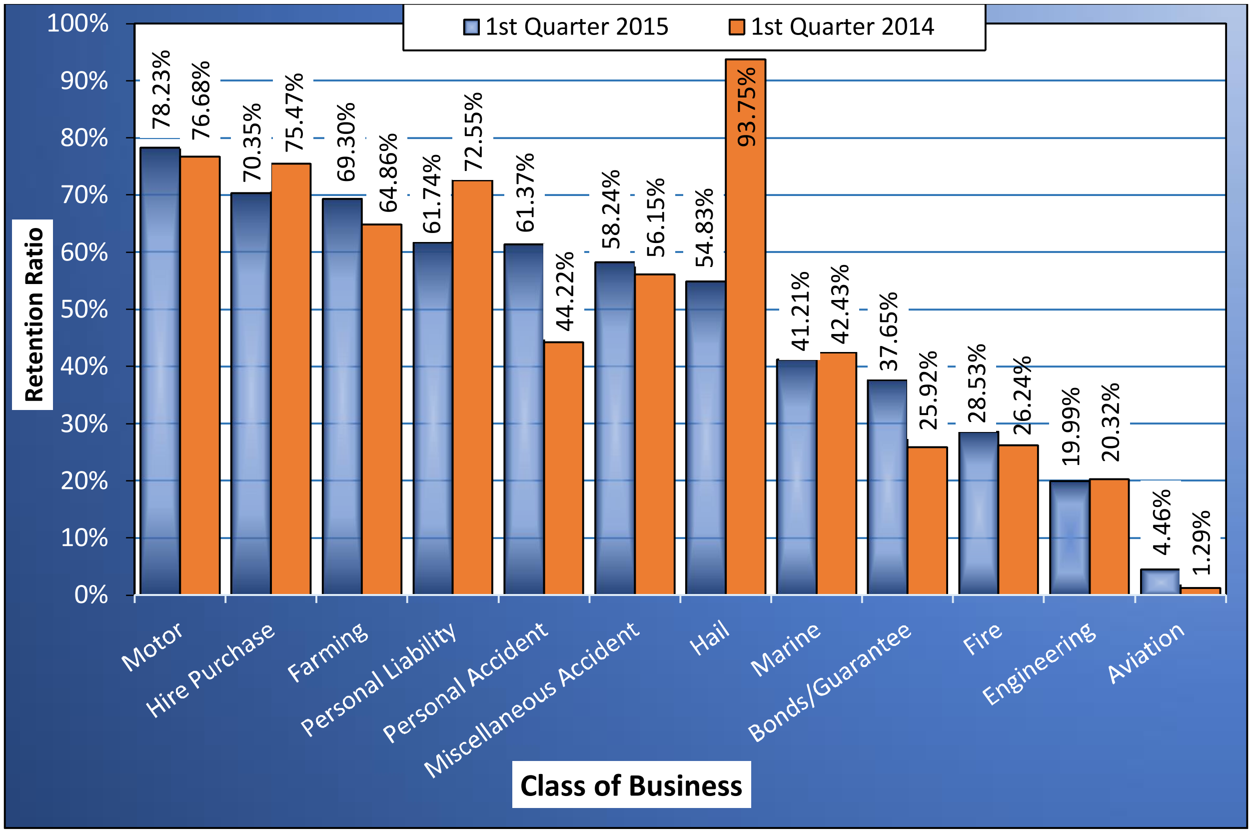
Figure 5: Retention Ratios for Short Term Insurance Companies



Motor and hire purchase remained the business classes with the highest retention ratios as shown in Figure 6 below. This implies that insurers have high risk appetite in these two business classes, mainly due to low severity of claims from the same.

Aviation and engineering insurance recorded the lowest retention ratios due to inadequate capacity in the local market. Figure 6 below shows the retention ratios by classes of business.

Figure 6: Non-life Insurers' Average Retention Ratios for Different Classes of Business



The Commission noted with concern astronomical levels of reinsurance creditors relative to reinsurance premiums. This is evidenced by the industry average reinsurance creditors to reinsurance premium industry average ratio of 96.70% as at 31 March 2015. This ratio ranged from nil to 894.29% for individual insurers. A total of twelve (12) operating underwriters reported reinsurance creditors to reinsurance premium ratios which were over 100% as at 31 March 2015 (See Appendix 1C). This implies that the twelve (12) insurers still owed reinsurers premiums dating back to at least 2014. Such a scenario jeopardizes the effectiveness of reinsurance arrangements that will have been put in place by the insurer in question.

Other indicators in respect of reinsurance are shown in Appendix 1C.

2.5. Actuarial Matters

Non-life insurers reported total technical liabilities amounting to $58.72 million as at 31 March 2015, reflecting a 13.12% increase from $51.91 million that was reported as at 31 December 2014. Out of this amount of technical liabilities, unearned premium reserves (UPR) amounted to $35.59 million while, incurred but not reported (IBNR) claims as well as net outstanding claims amounted to $10.45 and $12.69 million respectively. The overall increase in technical liabilities was mainly attributable to an upsurge in UPR which in turn could be explained by the issuance of annual policies whose term coincides with the calendar year.

The non-life insurance industry's assets in form of cash and money market as well as equities amounted to $70.29 million which amount was considered adequate to match the technical liabilities amounting to $58.72 million. Whilst the industry position in terms of matching their readily liquid assets with technical liabilities was considered acceptable, some insurers' technical liabilities significantly outweighed the liquid assets and the total investments backing the same liabilities. (See Appendix 1C for insurers who reported total reserves to investment assets ratios which were above 100%).

After considering other liabilities such as reinsurance creditors, which amounted to $31.99 million as at 31 March 2015, the non-life insurance industry may face challenges in matching all its liabilities using its readily liquid assets. Despite the foregoing observation, reinsurance creditors are usually liquidated using premium debtors for corresponding policies.

2.6. Earnings

Notwithstanding the decline in business written, total profit after tax for non-life insurers increased by 9.07% from $3.59 million for the quarter ended 31 March 2014 to $3.92 million for the quarter ended 31 March 2015. The increase in profit after tax was mainly attributable to a decrease in the uptake of reinsurance which amounted to $2.31 million coupled with a decrease in net incurred claims and improved investment returns which amounted to $0.51 million and $0.36 million. The total profit after tax reported by non-life insurers translated into a return on assets (ROA) and return on equity of (ROE) of 2.16% and 5.05% respectively.

Although the total profit for the industry improved, four (4) insurers reported losses during the quarter under review as shown in Appendix 1A and 1C. The number of insurers who reported losses compares favorably with a total of nine (9) reported for the comparative period in 2014.

There were no significant changes in the profitability of the non-life insurers' core business with underwriting profits decreasing marginally from $3.76 million for the quarter ended 31 March 2014 to $3.60 million for the quarter under review. A comparison of the underwriting profits for the quarter under review ($3.60 million) with total profit after tax for the same period ($3.92 million) indicates that non-life insurers generated the bulk of their profits from their core business.

Hire purchase and personal accident recorded the highest loss plus commission ratio of 63.50% and 58.93% respectively. Table 4 below shows the loss ratios and commission ratios reported in different classes of business for the quarter under review.

Table 4: Loss Ratios by Class of Business for Short Term Insurers

Business Class	Loss Ratio	Net Commission Ratio	Loss + Commission Ratio
Hire Purchase	28.93%	34.57%	63.50%
Personal Accident	45.63%	13.30%	58.93%
Motor	45.63%	4.15%	49.78%
Fire	50.02%	-1.14%	48.88%
Personal Liability	42.03%	3.52%	45.55%
Miscellaneous Accident	31.40%	7.63%	39.03%
Bonds/Guarantees	12.60%	8.58%	21.18%
Farming	-6.25%	15.88%	9.63%
Engineering	37.38%	-32.81%	4.57%
Aviation	4.83%	-3.26%	1.57%
Hail	-15.93%	4.74%	-11.19%
Marine	-49.83%	21.76%	-28.07%
Industry Average	**40.28%**	**4.47%**	**44.75%**

2.7. Liquidity

The non-life insurance's total cash and near cash assets amounted to $56.68% as at 31 March 2015, reflecting a 16.58% growth from $48.62 million that was reported as at 31 December 2014. The growth was mainly driven by an increase in money market investments during the quarter under review which amounted to $4.97 million. Total liquid assets for non-life insurers remained concentrated within a few insurers. Five (5) insurers accounted for 66.31% of cash and near cash assets.

Although total liquid assets increased as highlighted above, the acid test ratio deteriorated marginally from 54.60% as at 31 December 2014 to 53.47% as at 31 March 2015. The acid test ratio of 53.47% reported as at 31 March 2015 means that the market had approximately fifty three cents which were readily liquid to back every dollar of current liabilities. Such a scenario may compromise the insurance industry's ability to timeously settle its liabilities as they fall due.

The acid test ratios for individual insurers as at 31 March 2015 ranged from 6.89% to 189.42% (see Appendix 1C for more information).

2.8. Market Share for Non-life Insurers

The short term insurance sector was considered moderately concentrated with Herfindahl Indices of 0.12 and 0.11 in terms of GPW and NPW respectively for the quarter ended 31 March 2015.

Cell Insurance Company, Old Mutual Insurance Company, and Nicoz Diamond Insurance Company were the market leaders in terms GPW and NPW for the quarter ended 31 March 2015 with combined market shares of 47.66% and 46.07% respectively.

In terms of total assets, Old Mutual Insurance Company, Alliance Insurance Company and Nicoz Diamond Insurance Company, were the market leaders with market shares of 13.39%, 12.99% and 12.10% respectively. Figure 8 below shows the market shares of insurers in terms of total assets as at 31 March 2015. The market shares for all insurers are shown in Appendix 1C.

Figure 7: Market Share for Insurers in Terms of GPW and NPW

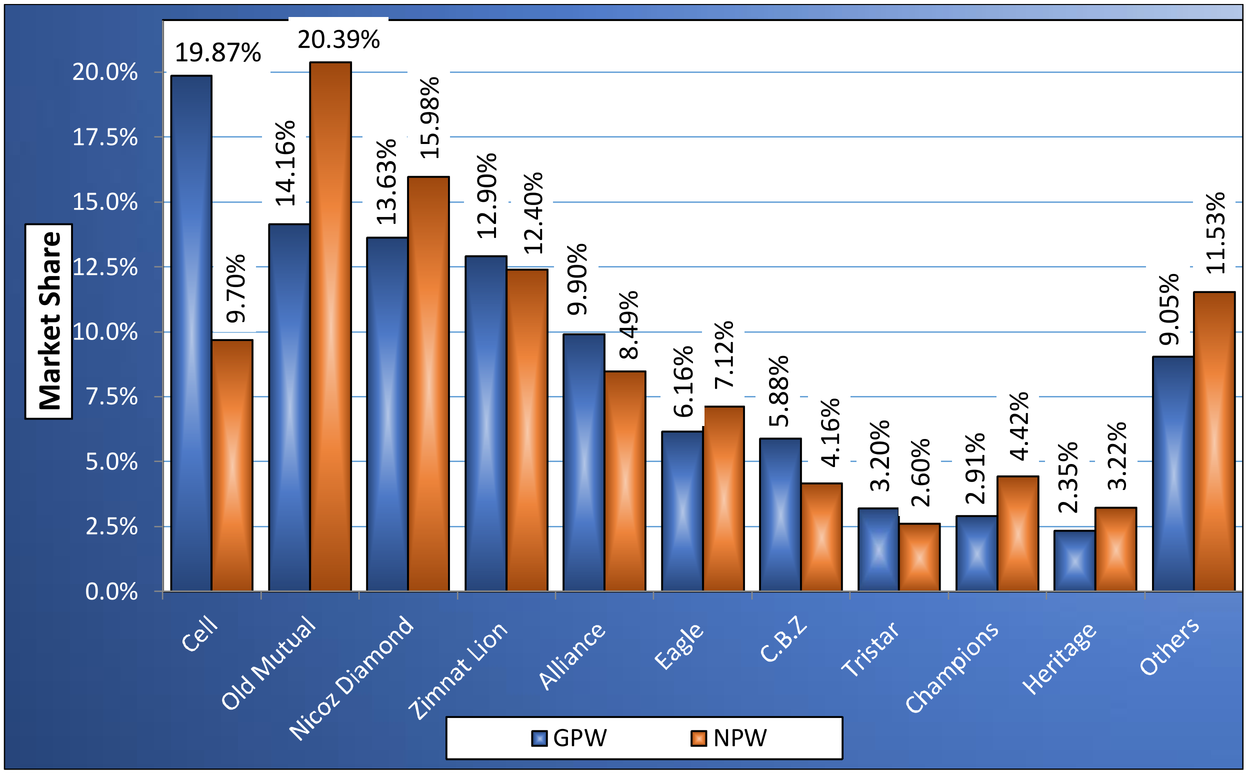
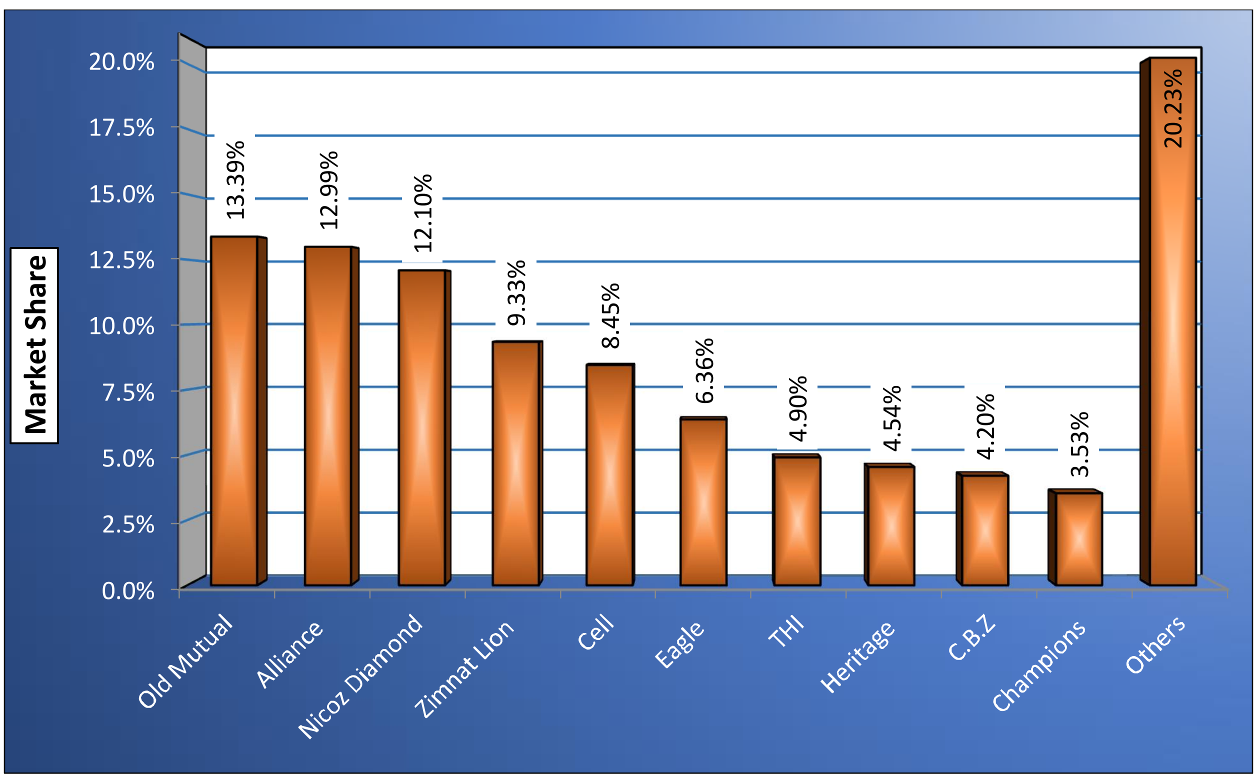


Figure 8: Market Share for Insurers in Terms of Total Assets



SECTION B

3. REINSURANCE COMPANIES

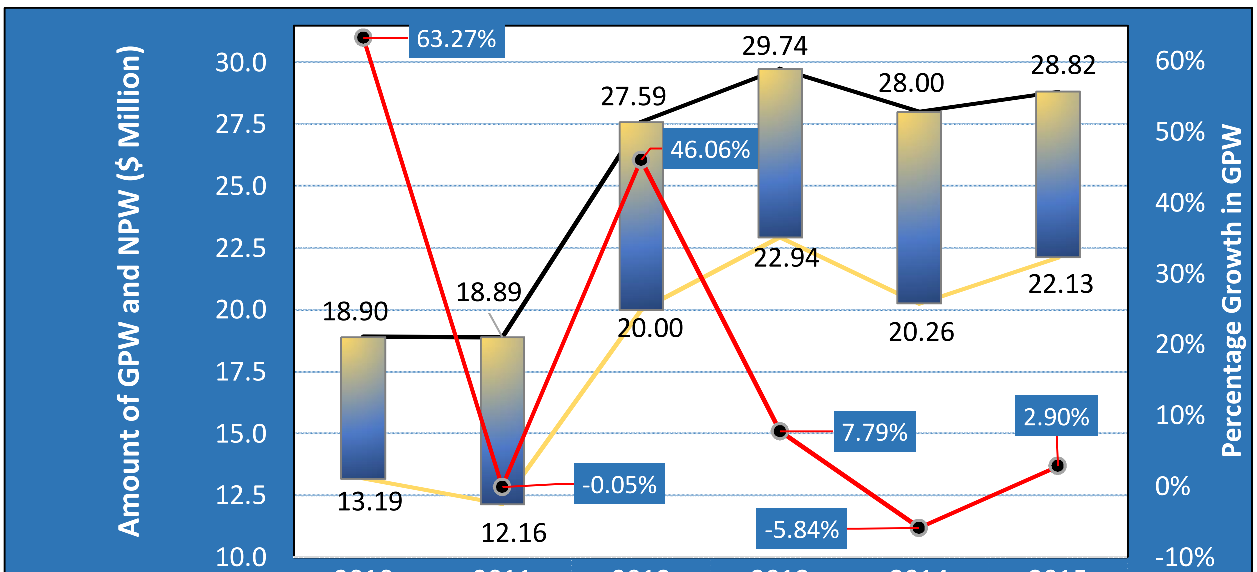
Please note that the figures for PTA Reinsurance Company (Zep-Re) contained in this report are only for the institution's Zimbabwean Country Office and not for the company as a whole. The country office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa among others. PTA Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member states. The Country Office is supported by the balance sheet of Zep-Re as a whole company. The figures for the country office are used in this report. Detailed statistics for all reinsurers are shown in Appendix 2A-C.

3.1. Performance in Terms of Business Written

The volume of business generated by non-life reinsurers in terms of Gross Premium Written (GPW) amounted to $28.82 million for the quarter ended 31 March 2015, reflecting a 2.90% increase from $28 million which was reported for the comparative period in 2014. The growth was mainly driven by increases in business generated from motor insurance as well as personal accident which amounted to $532,189 million and $519,687 million respectively. Figure 9 below shows the trend in business written during the first quarter since 2010.

A total of $2.52 million, which accounted for 8.73% of total GPW for the quarter under review, was in respect of business written from outside Zimbabwe. GPW by reinsurers from local insurers amounted to $26.30 million which was significantly below $35.39 million that was ceded by local non-life insurers implying that $9.09 million could have been ceded by direct non-life insurers to reinsures outside Zimbabwe. The Commission advises all market players to desist from placing business outside Zimbabwe without following the provisions of section 72 of the Insurance Act [Chapter 24:07].

Figure 9: Trend in Business Written During the First Quarter Since 2010



	2010	2011	2012	2013	2014	2015
GPW	18.90	18.89	27.59	29.74	28.00	28.82
NPW	13.19	12.16	20.00	22.94	20.26	22.13
Growth in GPW	63.27%	-0.05%	46.06%	7.79%	-5.84%	2.90%

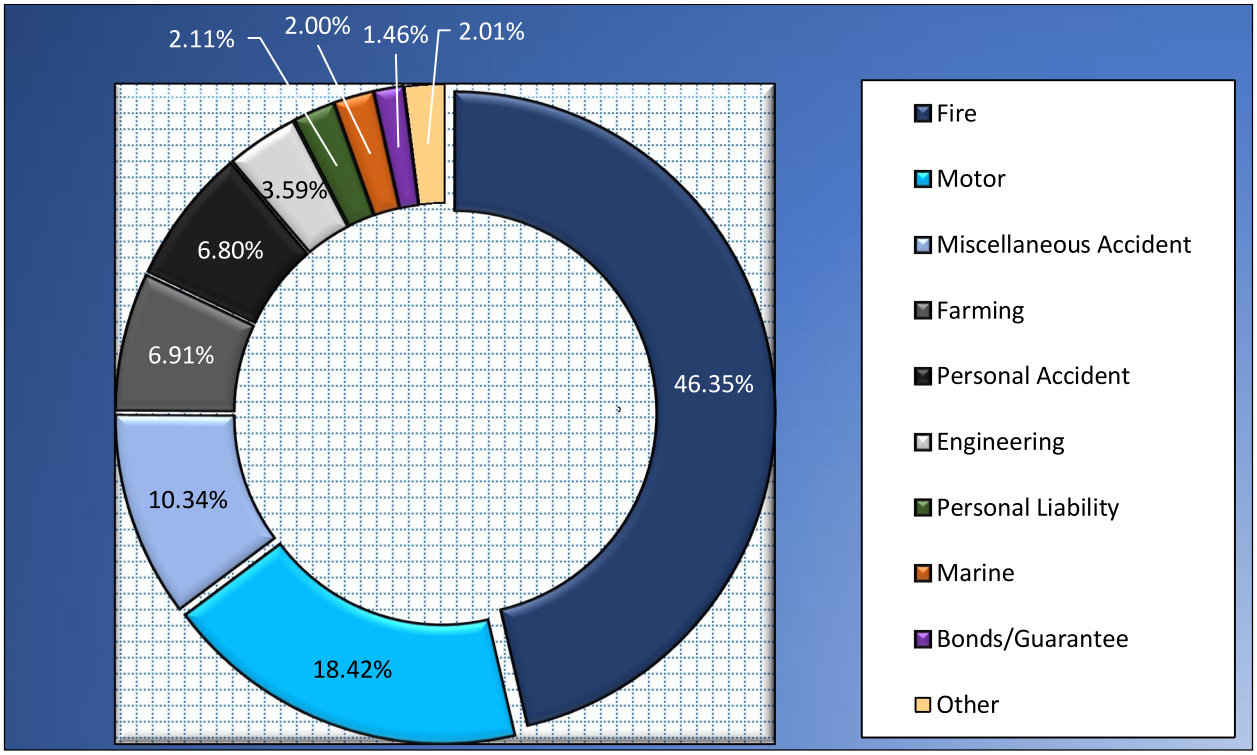
Hail and health insurance were the fastest growing business classes in terms of GPW during the period under review with growth rates of 123.91% and 106.10% respectively. Notwithstanding the growth, these two classes contributed a negligible proportion of total GPW. Table 5 below shows the growth recorded in different classes of business.

Table 5: Reinsurers' Gross Premium Written by Class of Business

Class of Business	Gross Premium Written ($)		Percentage Change
	31 March 2014	31 March 2015	
Aviation	193,580	180,769	-6.62%
Bonds/Guarantee	350,715	421,476	20.18%
Engineering	1,275,156	1,035,556	-18.79%
Farming	1,881,354	1,991,207	5.84%
Fire	13,813,280	13,356,822	-3.30%
Hail	82,440	184,590	123.91%
Health	89,323	184,092	106.10%
Hire Purchase	28,904	30,139	4.27%
Marine	320,439	574,958	79.43%
Miscellaneous Accident	3,382,441	2,979,123	-11.92%
Motor	4,776,126	5,308,315	11.14%
Personal Accident	1,440,973	1,960,660	36.07%
Personal Liability	369,504	607,796	64.49%
Total	**28,004,235**	**28,815,503**	**2.90%**

Fire and motor insurance remained the dominant classes of insurance business, accounting for a total of 64.77% of total gross premium written during the quarter ended 31 March 2015. Fire insurance is generally characterized by low frequency but severe losses, hence the more pronounced need for adequate reserving on an ongoing basis. The proportions of gross premium written attributable to different classes of business are shown in Figure 10 below.

Figure 10: Distribution of Reinsurers' GPW by Business Class



3.2. Capitalization

All the non-life reinsurers, except New Reinsurance Company of Harare (Private) Limited which was suspended during the quarter under review, reported capital positions which were above $1.5 million as at 31 March 2015. Table 6 below shows the capital position for all non-life reinsurers as at 31 March 2015.

All short term reinsurers reported solvency margins which were compliant with the prudential minimum of 25% as at 31 March 2015. The industry average solvency margin for non-life reinsurers was 105.41% (see Appendix 2C for more information).

Table 6: Capital Positions for Non-life Reinsurers

Name of Company	Reported Capital Position ($)			
	31 Dec 2013	30 Sep 2014	31 Dec 2014	31 Mar 2015
1. Baobab Reinsurance Company	30,804,610	26,583,006	26,648,670	31,124,285
2. Colonnade Reinsurance Company	1,252,709	1,769,840	1,443,929	1,978,286
3. FBC Reinsurance Company	8,743,520	9,615,337	10,272,398	10,828,377
4. FMRE Property & Casualty	5,953,062	5,923,050	6,189,045	6,363,028
5. Grand Reinsurance Company	9,614,640	9,703,023	9,806,817	10,061,215
6. Tropical Reinsurance Company	2,470,228	3,122,590	3,635,764	4,017,640
7. ZB Reinsurance Company	6,966,423	8,147,760	8,370,397	8,675,530
8. PTA Reinsurance Company (Zep Re)	626,075	2,403,046	1,233,794	2,207,447

Key:

(green)	The reinsurer reported a capital position that was compliant with the minimum capital requirement of $1.5 million.
(red)	The insurer reported a capital position which was not compliant with the minimum capital requirement.

3.3. Asset Quality

Total assets for non-life reinsurers grew by a whopping 8.38% from $118.19 million as at 31 December 2014 to $128.10 million as at 31 March 2015. The growth in total assets was mainly attributable to increase in cash and cash equivalents as well as premium debtors which amounted to $8.28 million and $4.8 million respectively. The increase in cash and cash equivalents was mainly buoyed by a capital injection of $5 million made into Baobab Reinsurance Company during the quarter under review. The growth in total assets driven by premium debtors is not sustainable given that some cedants end up defaulting on premium payment, especially given the harsh economic environment currently obtaining.

The asset base for non-life reinsurers was mainly made up of investments in subsidiaries, cash and cash equivalents, as well as premium debtors which all amounted to a total of $98.24 million and accounted for a total of 76.69% of total assets reported as at 31 March 2015 (see breakdown of reinsurers' assets in Figure 12 below). An asset base anchored on premium debtors and investments in subsidiaries may not appropriately match liabilities of a non-life reinsurer which are generally short term in nature.

Figure 11: Trend in Total Assets

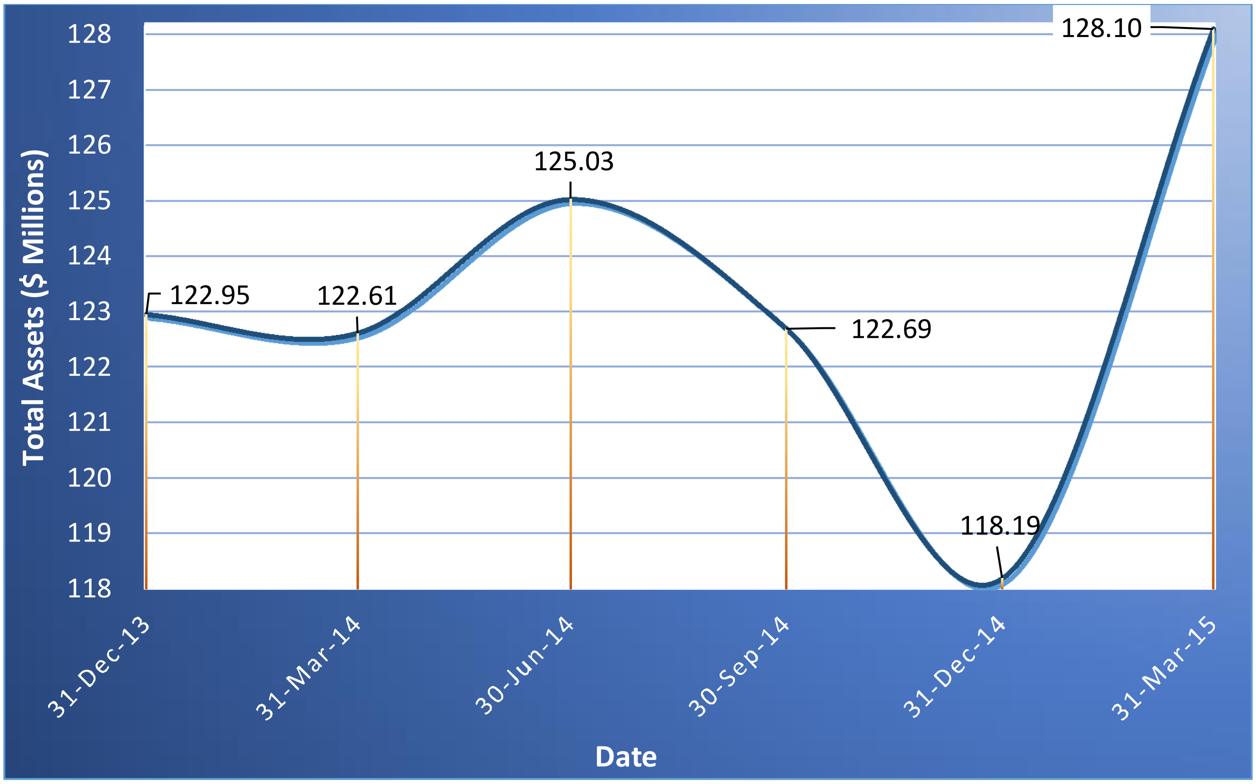
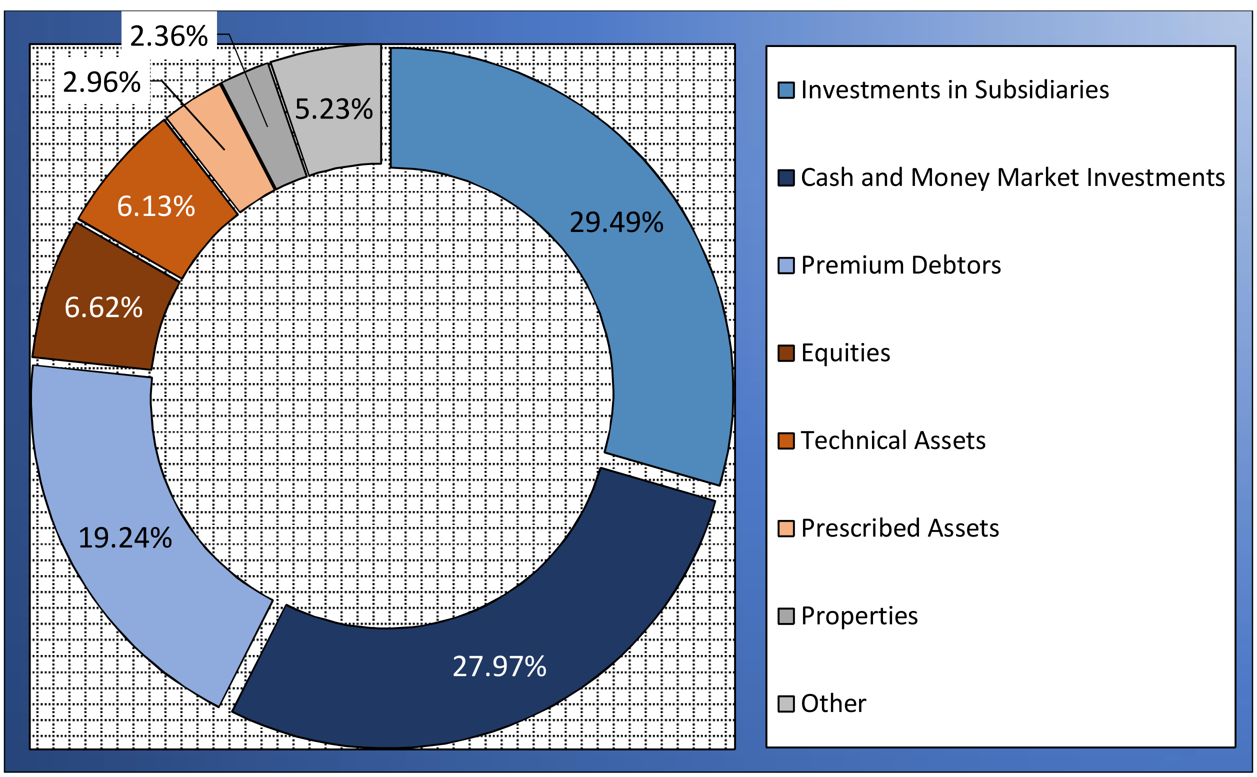


Figure 12: Breakdown of Non-life Reinsurers' Total Assets



The industry average prescribed assets ratio was 2.96% as at 31 March 2015, reflecting a deterioration from 4.04% reported as at 31 December 2014. Only two non-life reinsurers namely FBC Reinsurance Company and Tropical Reinsurance Company were compliant with the minimum prescribed assets ratio of 5% as at 31 March 2015. Other key performance indicators in terms of asset quality are shown in Appendix 2C.

3.4. Retrocession

The industry average retention ratio reported by non-life reinsurers was 76.79% for the quarter ended 31 March 2015, compared to 72.36% reported for the comparative period in 2014.The increase in the retention ratio indicates an increase in the risk appetite of reinsurers. As shown in Figure 13 below, the retention ratios for individual reinsurers ranged from 57.02% to 86.16%.

Non-life reinsures did not make use of retrocession in hire purchase and health insurance resulting in retention ratios of 100%. This may be explained by low values of sums insured in the two business classes which the reinsurers can withstand without retrocession. Negligible volumes of business were however derived from these two classes. The retention ratios for each class of business are as shown in Figure 14 below.

Figure 13: Retention Ratios for Reinsurers

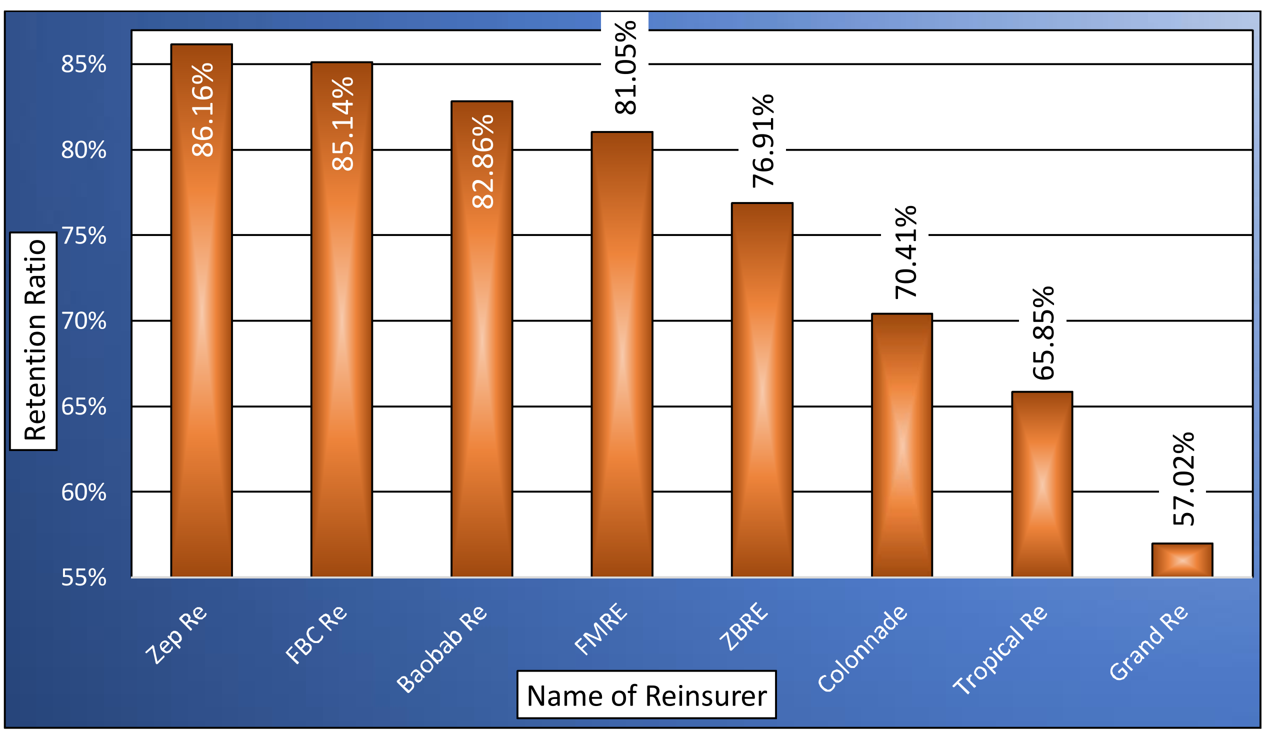
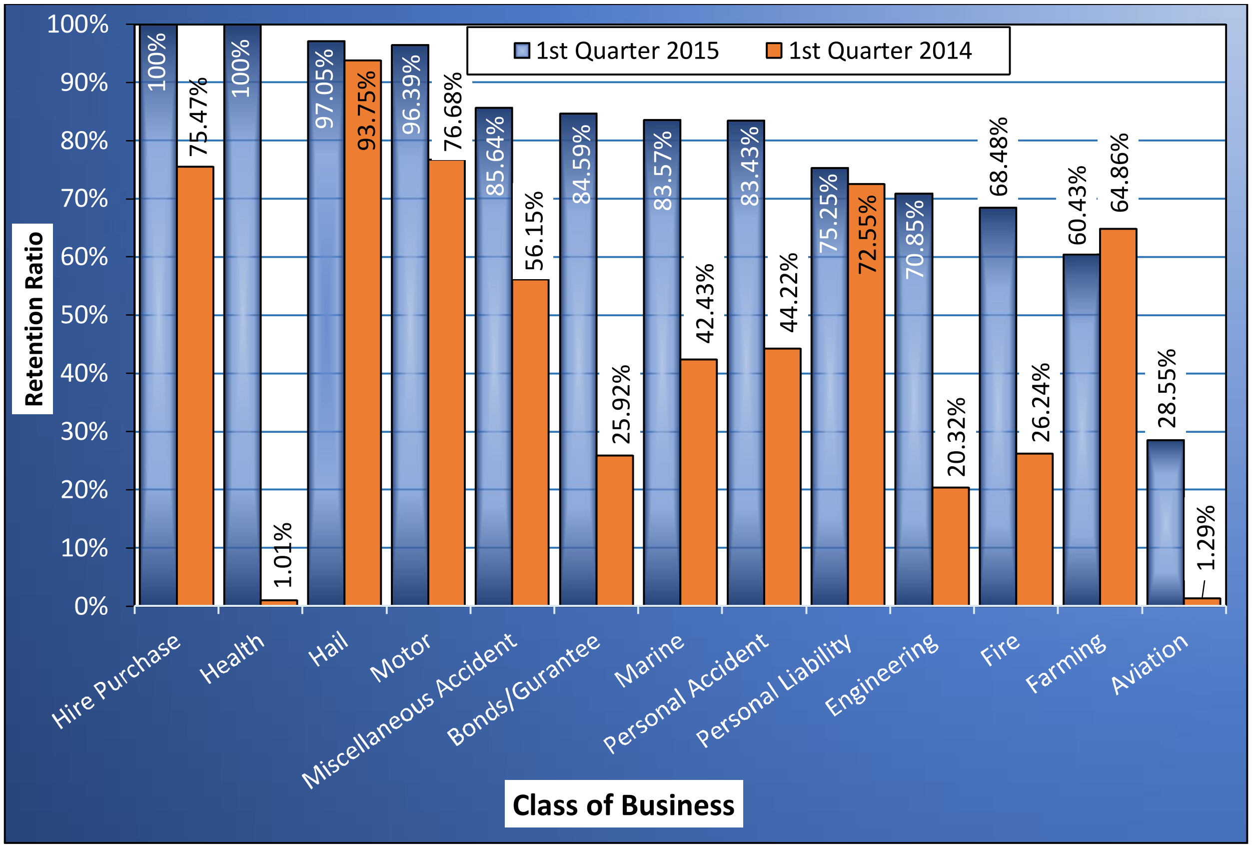


Figure 14: Retention Ratios by Class of Insurance Business



The non-life reinsurance sector reported a significant improvement in premium remittances to retrocessionaires during the quarter under review. This is evidenced by a significant decrease in the industry average retrocession creditors to retrocession premiums from 142.89% for the quarter ended 31 March 2014 to 121.50% for the quarter under review. Despite the improvement, the Commission noted with concern, cases where some reinsurers reported significant amounts owed to retrocessionaires relative to retrocession premiums (See Appendix 2C under key performance indicators for reinsurance).

The ratio of retrocession creditors to retrocession premium for individual reinsurers ranged from nil to 686.63% as at 31 March 2015. High levels of reinsurance creditors, in particular outstanding premiums, may compromise retrocession arrangements.

3.5. Actuarial Matters

Total technical liabilities amounted to $31.50 million compared to $29.24 million reported as at 31 December 2014. The growth in technical liabilities was mainly attributable to an increase in unearned premium reserves (UPR) from $14.71 million as at 31 December 2014 to $18.58 million as at 31 March 2015. The total technical liabilities reported as at 31 March 2015 were mainly skewed towards UPR which amounted to $18.58 million. The balance of technical liabilities was in form of net outstanding claims as well as incurred but not reported (IBNR) claims which amounted to $7.13 million and $5.79 million respectively.

As at 31 March 2015, non-life reinsurers reported cash and cash equivalents as well as money market investments amounting to $35.82 million which amount was considered adequate to match all the technical liabilities. All reinsurers except one, had enough resources to back technical liabilities (See Appendix 2C for the reinsurer who reported total reserves to investments assets ratios which was above 100%).

3.6. Earnings

There were no significant changes in the profitability of non-life reinsurers with total profit after tax increasing marginally from $2.33 million for the quarter ended 31 March 2014 to $2.34 million for the quarter under review. Notwithstanding the marginal increase in the total profit after tax, the industry average return on equity (ROE) and return on assets (ROA) deteriorated from 3.38% and 1.90% for the quarter ended 31 March 2015 to 3.11% and 1.83% respectively, for the quarter under review.

Total underwriting profits increased from $2.38 million for the quarter ended 31 March 2014 to $2.46 million for the quarter ended 31 March 2015 owing mainly to decreasing operating expenses. The decrease in expenses resulted in the expense ratio improving from 27.68% for the quarter ended 31 March 2014 to 25.40% for the quarter under review. Although the loss ratio deteriorated from 29.04% to 31.46% the ratio was still considered to be generally low and below the internationally expected ranges of around 60%.

Health and farming reported the highest loss plus commission ratios during the quarter under review as shown in Table 7 below. This could be attributable to the small pools in respect of the same business classes. These two business classes also accounted for insignificant volumes of business hence their impact on overall profitability was negligible. On the other hand, aviation and engineering were the most profitable lines of business in terms of loss plus commission ratio. Table 7 below shows the loss and commission ratios recorded under different classes of business for the quarter ended 31 March 2015.

The industry average investment income to net premium written was 1.89% for the quarter under review. Whilst such a low ratio shows that the reinsurers' major revenue driver is the core business of underwriting, it also shows that the same reinsurers' capacity to supplement underwriting income with investment income is low.

Table 7: Loss Ratios by Class of Business for Reinsurers

Business Class	Loss Ratio	Net Commission Ratio	Loss + Commission Ratio
Health	195.02%	28.12%	223.14%
Farming	45.73%	15.88%	61.61%
Motor	55.43%	4.15%	59.58%
Personal Accident	41.76%	13.30%	55.06%
Miscellaneous Accident	37.26%	7.63%	44.89%
Hire Purchase	0.00%	34.57%	34.57%
Hail	26.22%	4.74%	30.96%
Marine	1.16%	21.76%	22.92%
Fire	21.23%	-1.14%	20.09%
Bonds/Guarantees	0.15%	8.58%	8.73%
Personal Liability	0.15%	3.52%	3.67%
Engineering	-33.78%	-32.81%	-66.59%
Aviation	-146.87%	-3.26%	-150.13%
Industry Average	**31.46%**	**4.47%**	**35.93%**

3.7. Liquidity

Non-life reinsurers reported total liquid assets amounting to $39.61 million as at 31 March 2015 reflecting a 22.40% increase from $32.36 million reported as at 31 December 2014. The increase in liquid assets was mainly attributable to the injection of capital in liquid form into Baobab Reinsurance Company.

The increase in total liquid assets resulted in a marked improvement in the liquidity of the non-life reinsurers' market. This is shown by the increase in the industry average acid test ratio from 65.36% as at 31 December 2014 to 80.96% as at 31 March 2015. The reported acid test ratio means that on average the non-life reinsurance industry had approximately eighty one cents readily available to liquidate current liabilities should the need arise. The acid test ratio for individual ratios ranged from 32.31% to 175.25% (see Appendix 2C under Liquidity).

3.8. Market Share for Reinsurers

The market for non-life reinsurers was considered to have remained moderately concentrated. This is evidenced by Herfindahl Indices of 0.14 and 0.15 which were recorded by the non-life reinsurance industry in terms of gross premium written and net premium written respectively during the quarter under review.

ZB Reinsurance Company, FMRE Property and Casualty, and FBC Reinsurance Company remained the market leaders in terms of GPW and NPW with combined market shares of 51.48% and 54.08% respectively. Figure 15 below shows the market share for all non-life reinsurers in terms of business written during the quarter under review.

In terms of total assets reported as at 31 March 2015, Baobab Reinsurance Company, FBC Reinsurance Company and Grand Reinsurance Company were the market leaders with a combined market share of 63.34%. Figure 16 below shows the market share of all reinsurers in terms of total assets.

Figure 15: Market Share for Reinsurers in Terms of GPW and NPW

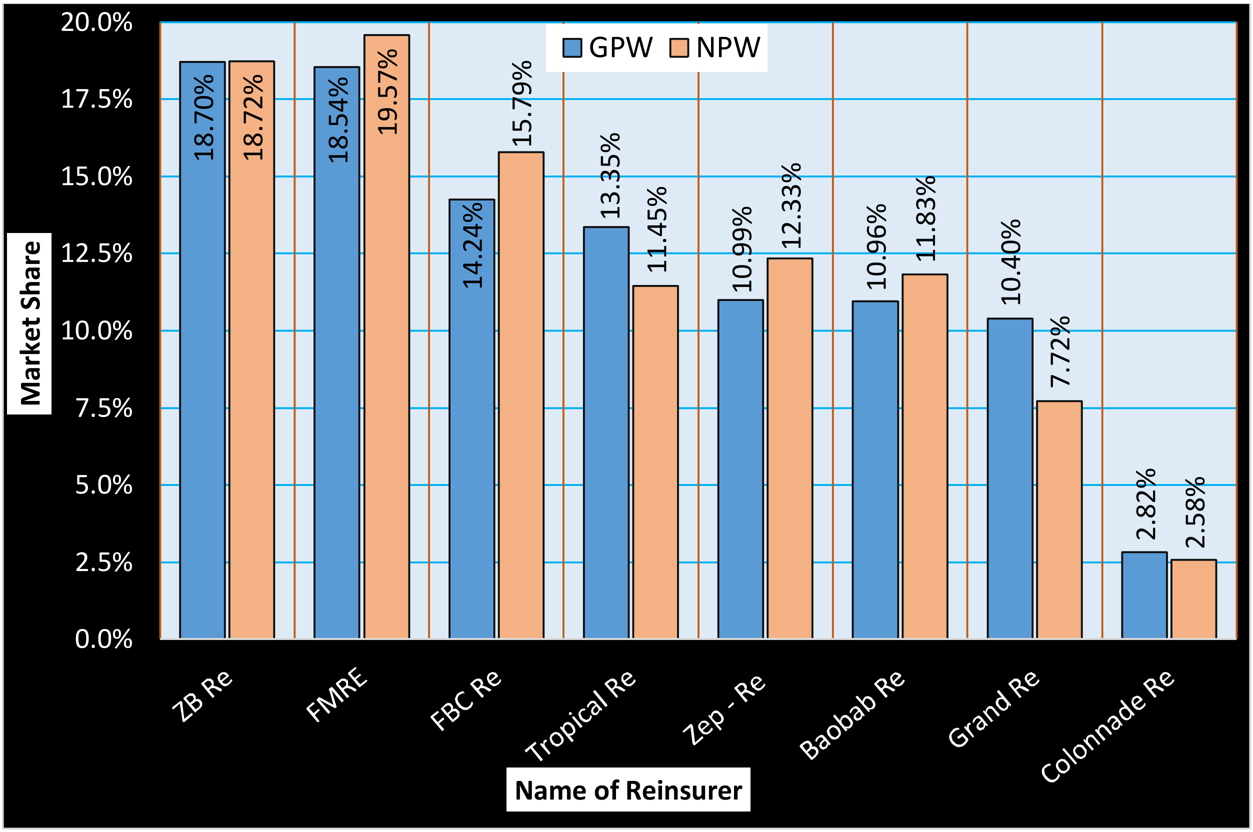
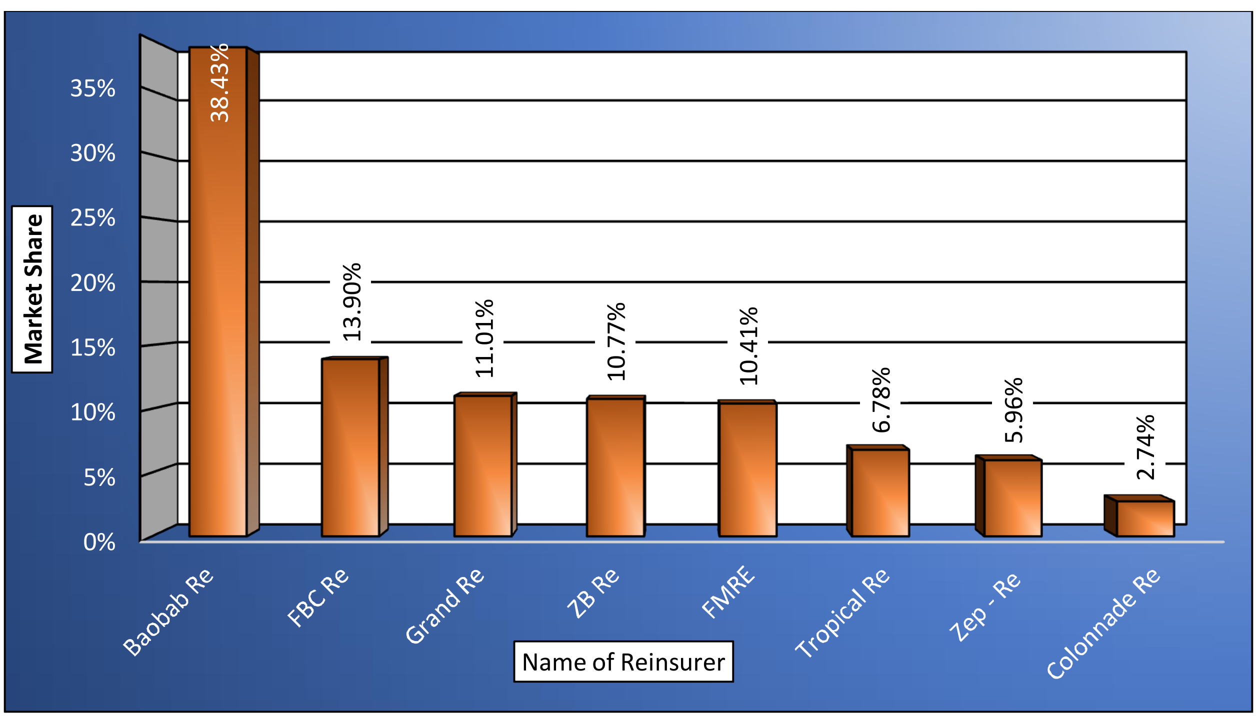


Figure 16: Market Share for Reinsurers in Terms of Total Assets



SECTION C

4. INSURANCE BROKERS

4.1 Business Written

Insurance brokers recorded total premium of $26.73 million for the quarter ended 31 March 2015, reflecting an 8.49% growth from $24.64 million reported in the comparative period in 2014. The total premium written by insurance brokers was equivalent to 37.54% of gross premium written by direct non-life insurers for the quarter under review implying that the business produced by insurers was mainly through agents and walk in clients.

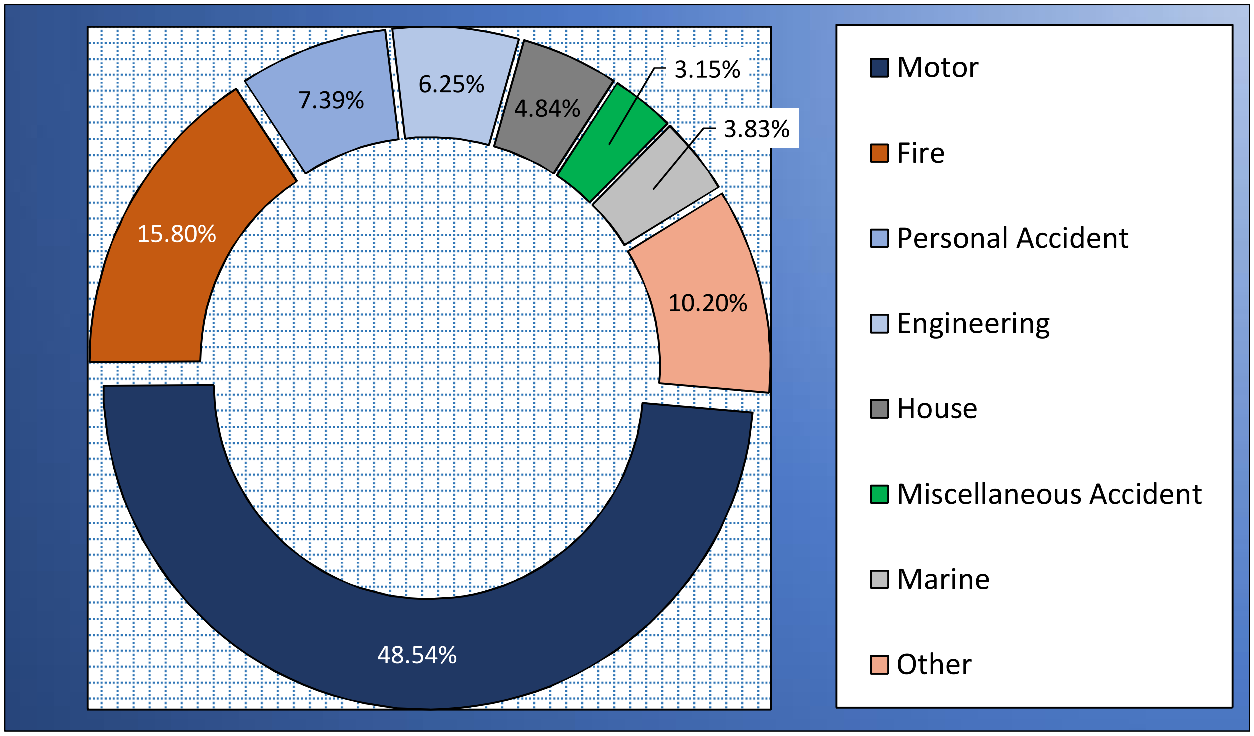
Notwithstanding the significant increase in total premium generated, there was no corresponding increase in brokerage commission with total brokerage commission increasing by a paltry 1.87% from $4.45 million for the quarter ended 31 March 2014 to $4.54 million for the quarter under review. The brokerage commission generated translated into an industry average commission rate of 16.97%. Table 8 below shows the indicators of the business written by the insurance brokers.

Table 8: Indicators of Business Written for Insurance Brokers

Indicator	31 Mar 2014	31 Mar 2015	Percentage Change
Premium Written	24,639,057	26,730,275	8.49%
Brokerage Commission	4,453,082	4,536,227	1.87%
Premium Written Less Commission	20,185,975	22,194,048	9.95%
Commission Incurred	160,163	276,310	72.52%
Net Brokerage Commission	4,292,919	4,259,917	-0.77%
Other Income	389,774	274,089	-29.68%
Operating Expenses	3,931,833	4,175,019	6.19%
Profit Before Tax	750,860	358,986	-52.19%
Taxation	129,248	110,483	-14.52%
Profit After Tax	**621,612**	**248,503**	**-60.02%**

The business written by insurance brokers remained skewed towards motor and fire insurance, a trend similar to that observed under non-life insurers as well as reinsurers. Figure 17 below shows the distribution of business.

Figure 17: Distribution of Insurance Brokers' Gross Premium Written by Business Class



4.2 Capitalization

All operating insurance brokers, except Coverlink Insurance Brokers and Rainbow Insurance Brokers reported capital positions which were above $100,000 as at 31 March 2015. The capital positions for the individual insurance brokers ranged from $14,514 to $877,367 as at the same date. Table 9 below shows the capital positions reported by all operating insurance brokers.

Table 9: Reported Capital Levels for Insurance Brokers

Name Insurance Broker	31-Dec-13	30-Sep-14	31-Dec-14	31-Mar-15
1. Alexander Forbes Risk Services	531,600	442,789	522,148	534,864
2. Ambassador Insurance Brokers	126,976	127,008	128,036	129,020
3. Amour Khan Insurance Brokers	138,323	141,273	142,604	141,641
4. Auto & General Insurance Brokers	445,980	434,791	437,600	427,800
5. Broksure Insurance Brokers	103,050	100,734	98,037	100,531
6. Capitol Insurance Brokers	598,614	604,169	583,788	605,544
7. Care Insurance Brokers	121,841	159,727	169,394	185,846
8. Coverlink Insurance Brokers				78,594
9. Eaton & Youngs (Private) Limited	441,502	450,030	420,066	423,482

Name Insurance Broker	31-Dec-13	30-Sep-14	31-Dec-14	31-Mar-15
10. Eureka Insurance Brokers	330,873	247,323	287,425	245,638
11. Glenrand MIB Zimbabwe	284,631	200,803	189,347	121,560
12. Goldstick Insurance Brokers	103,164	162,551	151,647	124,291
13. Hostcare Insurance Brokers	146,645	145,800	145,741	144,967
14. HRIB (Private) Limited	225,452	284,235	327,588	395,743
15. Hunt Adams & Associates	105,002	127,720	113,012	122,190
16. Insuraserve (Private) Limited	85,669	163,646	165,819	171,089
17. L. A. Guard Insurance Brokers	102,290	102,541	183,482	178,673
18. Marsh Insurance Brokers	781,239	1,192,965	909,286	877,637
19. Minerva Risk Solutions	808,157	(915,996)	530,258	500,981
20. Momentum Insurance Brokers	506,492	515,260	351,267	434,374
21. Paul Mkondo Insurance Brokers	161,465	190,720	190,165	178,887
22. Perpro Insurance Brokers	162,003	171,970	170,648	162,442
23. Progressive Insurance Brokers	726,971	740,717	722,682	732,463
24. Rainbow Insurance Brokers	7,004	12,317	13,100	14,514
25. SATIB Insurance Brokers	50,111	157,756	176,637	224,184
26. TIB Insurance Brokers	102,662	100,147	101,770	115,490
27. Victory Insurance Brokers	408,610	419,033	406,900	345,153
28. Zimbabwe Insurance Brokers	264,250	199,712	227,655	211,513

Key:

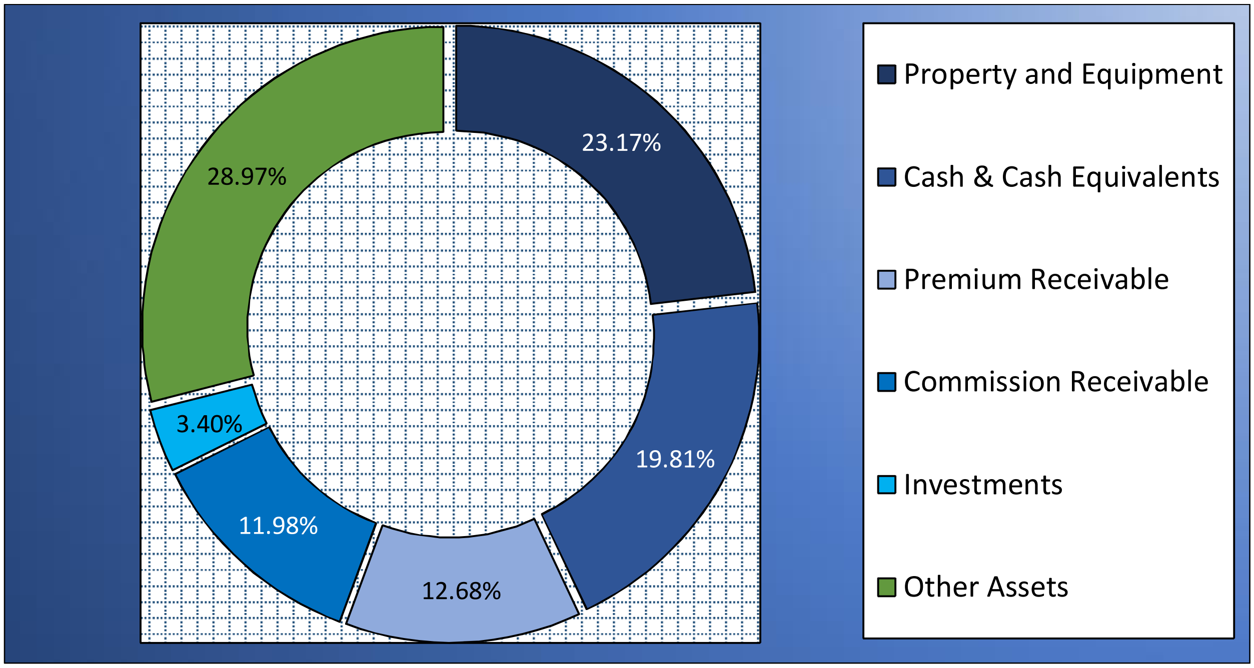
(green)	The insurance broker reported a capital position that was above $100,000.
(red)	The insurance broker reported a capital position that was below $100,000.

4.3 Asset Quality

Total assets for insurance brokers grew by 22.18% from $21.60 million as at 31 December 2014 to $26.39 million as at 31 March 2015. The growth in the asset base was mainly driven by upsurges in premium receivables as well as cash & cash equivalents which amounted to $1.75 million and $0.9 million respectively.

The distribution of assets across different classes remained largely the same with property and equipment, as well as cash and cash equivalents being the highest proportions of total assets as shown in Figure 18 below.

Figure 18: Distribution of Insurance Brokers' Total Assets



4.4 Earnings

In contrast with the upsurge in total premium written, total profit after tax for insurance brokers decreased significantly by 60.02% from $621,612 for the quarter ended 31 March 2014 to $248,503 for the quarter ended 31 March 2015. The decrease in profit after tax was largely driven by an increase in operating costs from $3.93 million for the quarter ended 31 March 2014 to $4.18 million for the quarter ended 31 March 2015. In line with the decreasing profit after tax, the industry average return on equity (ROE) and return on assets (ROA) deteriorated from 7.16% and 2.51% to 3.13% and 0.94% respectively. A total of nine (9) out of the twenty eight (28) operating insurance brokers reported losses during the quarter under review.

4.5 Market Share for Insurance Brokers

The market for insurance brokers was considered unconcentrated. This is evidenced by a Herfindahl Index of 0.09 that was recorded in terms of net brokerage income generated for the quarter ended 31 March 2015. The market leaders in terms of net brokerage commission were Minerva Risk Solutions, Marsh Insurance Brokers Zimbabwe and HRIB Insurance Brokers as shown in Figure 19 below. In terms of total assets Minerva Risk Solutions, Progressive Insurance Brokers and Eureka Insurance Brokers were the market leaders as shown in Figure 20 below.

Figure 19: Market Share in Terms of Net Brokerage Income and Premium Written

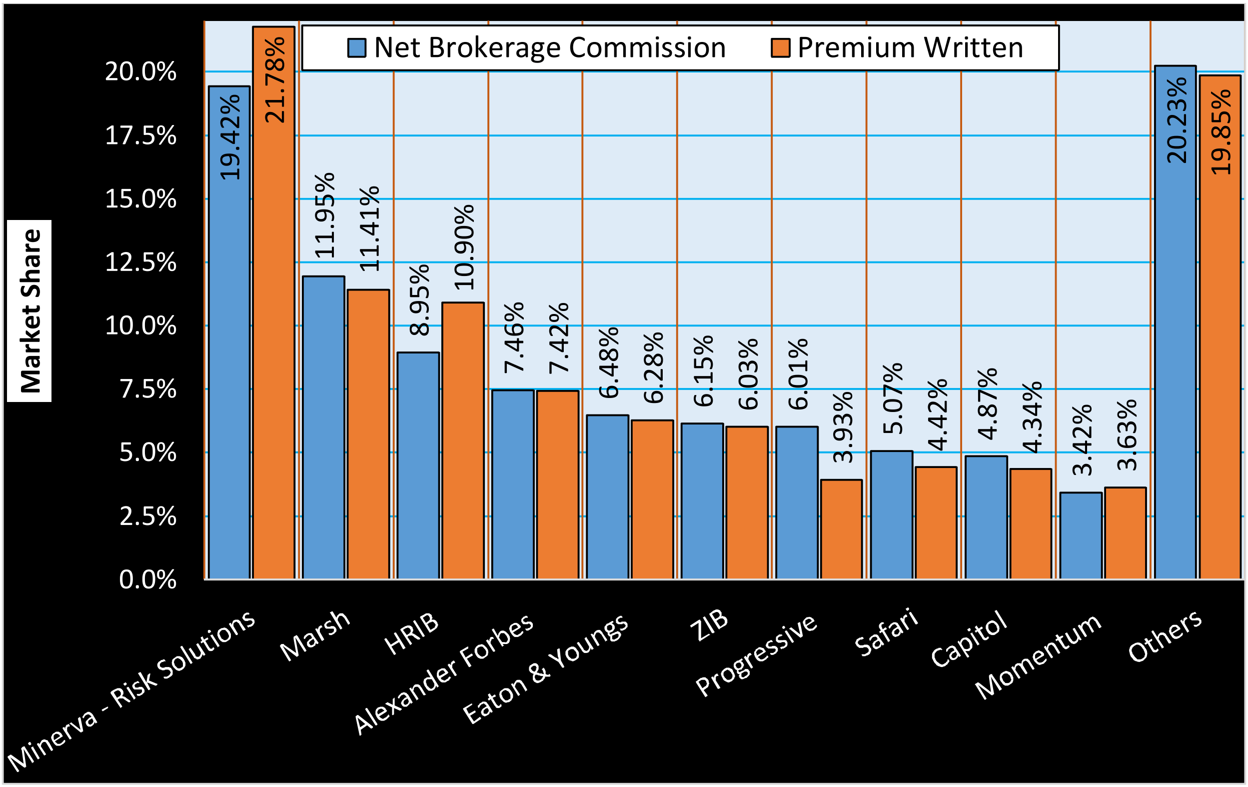
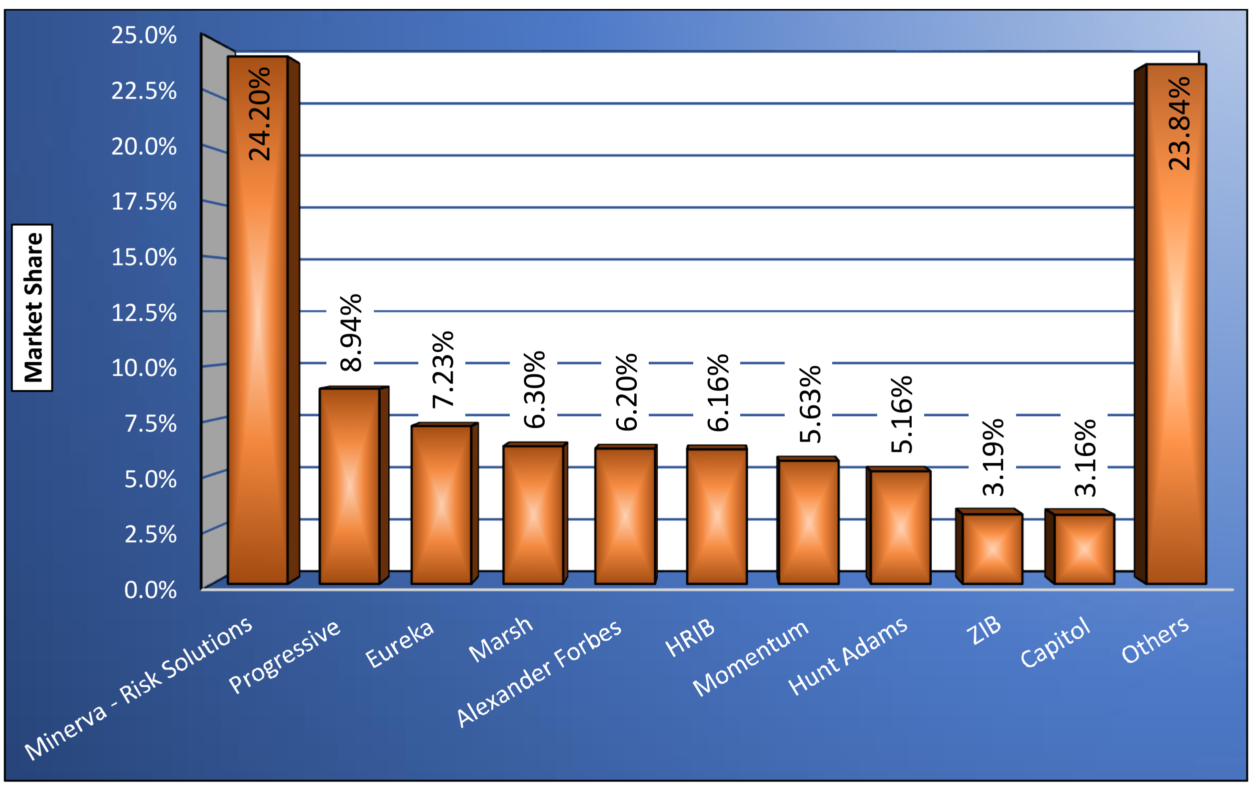


Figure 20: Market Share for Insurance Brokers in Terms of Total Assets



SECTION D

5. REINSURANCE BROKERS

5.1 Business Written

Total premium written by reinsurance brokers increased from $15.58 million for the quarter ended 31 March 2014 to $18.91 million for the quarter ended 31 March 2015. The total premium written by reinsurance brokers translated to 65.61% of gross premium written by non-life reinsurers implying that the latter generate the bulk of their business through brokers.

Total brokerage commission generated by reinsurance brokers during the quarter under review amounted to $3.22 million for the quarter under review reflecting a 9.68% increase from $2.94 million reported for the comparative period in 2014. The brokerage commission translated into an industry average commission ratio of 17.04%. Table 10 below shows the indicators of the business written by the reinsurance brokers.

Table 10: Indicators of Business Written for Reinsurance Brokers

Indicator	31 Mar 2014	31 Mar 2015	Percentage Change
Premium Written	15,577,723	18,906,448	21.37%
Brokerage Commission	2,938,061	3,222,576	9.68%
Premium Written Less Commission	12,639,662	15,683,873	24.08%
Commission Paid	2,225,288	2,377,637	6.85%
Net Brokerage Commission	712,773	844,939	18.54%
Other Income	16,791	26,091	55.39%
Operating Expenses	434,866	517,338	18.96%
Profit Before Tax	294,698	353,692	20.02%
Taxation	79,511	99,723	25.42%
Profit After Tax	**215,187**	**253,969**	**18.02%**

5.2 Capitalization

Of all the registered reinsurance brokers, only Afro-Asian Reinsurance Brokers reported a capital level that that was below $100,000. Table 11 below shows the capital positions for all reinsurance brokers.

Table 11: Capital Levels for Reinsurance Brokers

Name of Company	Reported Capital Position ($)			
	31 Dec 2013	30 Sep 2014	31 Dec 2014	31 Mar 2015
1. Afro-Asian Reinsurance Brokers	9,939	70,861	34,580	21,031
2. Minerva Re (Private) Limited	1,949,169	1,088,668	1,148,561	1,374,678
3. Pan African Re	363,915	444,826	450,661	502,279
4. Reinsurance Brokers International	152,328	118,686	88,327	184,711

5.3 Asset Quality

Total assets for reinsurance brokers increased by 45.12% from $11.21 million as at 31 December 2014, to $16.27 million as at 31 March 2015. The increase in total assets was mainly attributable to an increase in premium receivable from $6.90 million as at 31 December 2014 to $11.93 million as at 31 March 2015. The same premium receivables accounted for 73.34% of total assets.

5.4 Earnings for Reinsurance Brokers

Total profit after tax for reinsurance brokers increased by 18.02% from $215,187 for the quarter ended 31 March 2014 to $253,969 for the quarter ended 31 March 2015. The industry average ROE and ROA were 12.19% and 1.56% respectively for the quarter under review.

5.5 Market Share for Reinsurance Brokers

There were no significant changes in terms of market shares with Minerva Reinsurance Brokers remaining the market leader in respect of premium written, net brokerage commission as well as total assets. Table 12 below shows the market shares for all the reinsurance brokers.

Table 12: Market Share for Reinsurance Brokers

Name of Reinsurance Broker	Premium Written	Net Brokerage Commission	Total Assets
1. Minerva Re (Private) Limited	61.70%	72.43%	79.96%
2. Pan African Reinsurance Brokers	31.23%	22.77%	11.86%
3. Reinsurance Brokers International	6.74%	4.48%	8.18%
4. Afro-Asian Reinsurance Brokers	0.34%	0.31%	0.28%
Total	**100%**	**100%**	**100%**

SECTION E

6. APPENDICES

Appendix 1A: Statement of Comprehensive Income for Non-life Insurers $('000)

	Alliance	Allied	C.B.Z	Cell Insurance Company		Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Hamilton	Heritage	Nicoz Diamond	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total
				Promoter	Cell Business																		
Gross Premium Written	**7,018**	**402**	**4,166**	**12,219**	**1,869**	**2,060**	**915**	**937**	**4,367**	**1,181**	**249**	**473**	**1,663**	**9,661**	**10,034**	**313**	**429**	**486**	**611**	**417**	**2,270**	**9,148**	**70,887**
Reinsurance Premium	3,810	70	2,594	10,422	-	389	127	457	1,676	571	67	181	444	3,619	2,328	131	3	148	62	237	1,287	4,459	**33,082**
Net Premium Written	**3,208**	**332**	**1,572**	**1,797**	**1,869**	**1,671**	**787**	**481**	**2,691**	**610**	**182**	**292**	**1,219**	**6,042**	**7,707**	**182**	**426**	**338**	**549**	**180**	**983**	**4,689**	**37,805**
Increase/(Decrease) in UPR	(282)	133	352	606	918	61	(157)	5	506	131	(78)	12	248	2,386	1,902	(193)	(20)	155	7	(577)	244	1,933	**8,292**
Net Earned Premium	**3,490**	**198**	**1,220**	**1,191**	**951**	**1,610**	**944**	**475**	**2,185**	**479**	**260**	**281**	**971**	**3,656**	**5,805**	**375**	**446**	**183**	**542**	**756**	**739**	**2,756**	**29,513**
Net Incurred Claims	2,128	103	541	671	366	606	222	235	1,229	223	13	108	187	1,272	2,675	30	(13)	47	140	(77)	191	992	**11,888**
Net Commission Incurred	208	(21)	8	(442)	(0)	150	86	(44)	217	82	49	(11)	178	253	150	59	42	(15)	23	219	67	61	**1,319**
Technical Result	**1,154**	**117**	**671**	**962**	**585**	**854**	**636**	**285**	**738**	**174**	**198**	**184**	**607**	**2,131**	**2,979**	**286**	**417**	**151**	**379**	**615**	**480**	**1,702**	**16,305**
Operating Expenses	1,059	167	326	688	1,165	987	543	398	611	117	82	162	480	1,436	1,539	171	296	79	420	267	548	1,159	**12,700**
Underwriting Result	**95**	**(50)**	**345**	**274**	**(581)**	**(132)**	**93**	**(113)**	**128**	**57**	**116**	**22**	**127**	**695**	**1,440**	**115**	**122**	**71**	**(41)**	**348**	**(67)**	**543**	**3,605**
Investment Income	128	3	77	1	55	10	(9)	13	104	5	-	0	115	91	425	2	0	2	22	96	11	63	**1,213**
Unrealised Gains/(Losses)	-	4	(10)	(5)	(8)	-	-	(14)	(2)	-	-	2	(8)	-	(102)	(29)	-	-	-	-	(99)	-	**(271)**
Other Income/(Expenses)	129	35	4	254	(38)	93	70	-	18	1	37	-	(2)	44	(33)	-	0	-	36	35	52	(14)	**720**
Profit/(Loss) Before Tax	**352**	**(8)**	**416**	**524**	**(572)**	**(29)**	**153**	**(114)**	**247**	**63**	**153**	**24**	**232**	**830**	**1,730**	**88**	**122**	**73**	**17**	**479**	**(103)**	**592**	**5,267**
Taxation	91	11	122	135	-	15	40	(29)	64	1	8	5	-	454	257	(3)	32	11	-	132	-	4	**1,348**
Profit/(Loss) After Tax	**261**	**(20)**	**295**	**389**	**(572)**	**(44)**	**113**	**(85)**	**183**	**62**	**145**	**19**	**232**	**376**	**1,472**	**91**	**90**	**62**	**17**	**347**	**(103)**	**588**	**3,919**
Dividends	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	**-**
Retained Income	**261**	**(20)**	**295**	**389**	**(572)**	**(44)**	**113**	**(85)**	**183**	**62**	**145**	**19**	**232**	**376**	**1,472**	**91**	**90**	**62**	**17**	**347**	**(103)**	**588**	**3,919**

Appendix 1B: Statements of Financial Position for Non-life Insurers US$'000

	Alliance	Allied	C.B.Z	Cell Insurance Company		Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Hamilton	Heritage	Nicoz	Old	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat	Total
				Promoter	Cell Business									Diamond	Mutual							Lion	
ASSETS																							
Non-Current Assets																							
Fixed Assets	3,948	1,666	332	529	-	1,878	1,176	2,225	3,111	788	219	417	1,898	5,492	999	398	2,254	1,677	1,095	1,144	179	681	**32,105**
Long Term Investments	1,125	82	238	97	200	-	113	105	139	972	7	1,777	300	3,027	2,254	1,288	3	-	-	552	1,930	2,093	**16,302**
Other Non-Current Assets	79	-	67	1,089	-	24	-	122	-	-	-	-	2,475	273	-	7	65	-	6	1,861	-	455	**6,525**
	5,152	**1,748**	**637**	**1,715**	**200**	**1,902**	**1,289**	**2,452**	**3,249**	**1,760**	**226**	**2,194**	**4,674**	**8,792**	**3,252**	**1,693**	**2,322**	**1,677**	**1,101**	**3,557**	**2,109**	**3,229**	**54,932**
Technical Assets																							
Reinsurers' Share of O/S Claims	4,513	11	245	2,759	-	295	76	778	398	28	11	364	-	-	343	67	-	13	-	1,382	59	2,069	**13,409**
Deferred Acquisition Cost	685	77	2	217	-	90	20	56	136	55	8	44	369	1,306	1,177	64	17	17	18	96	48	997	**5,497**
	5,198	**88**	**247**	**2,976**	**-**	**385**	**96**	**834**	**534**	**83**	**18**	**408**	**369**	**1,306**	**1,520**	**131**	**17**	**30**	**18**	**1,478**	**107**	**3,065**	**18,906**
Current Assets																							
Cash & cash equivalents	785	62	168	1,830	1,696	262	35	103	119	611	35	88	50	4,360	1,981	64	364	28	45	1,285	109	341	**14,421**
Money Market Investments	5,142	156	4,424	1,146	1,874	93	527	217	4,411	-	-	-	2,116	300	13,918	-	-	-	855	1,242	373	2,772	**39,566**
Current Prescribed Assets	457	-	-	-	-	17	-	30	-	75	-	20	-	540	975	38	-	-	-	130	168	240	**2,689**
Premium Receivables	6,410	441	2,613	7,139	-	1,932	978	1,043	3,620	170	164	506	1,556	6,087	2,146	67	14	384	427	1,317	2,542	7,586	**47,143**
Other Current Assets	2,094	126	67	1,602	-	2,261	881	454	413	421	157	136	45	2,110	2,208	40	846	-	43	549	654	897	**16,004**
	14,889	**785**	**7,271**	**11,717**	**3,570**	**4,564**	**2,421**	**1,848**	**8,564**	**1,278**	**356**	**749**	**3,767**	**13,397**	**21,228**	**209**	**1,224**	**412**	**1,370**	**4,522**	**3,846**	**11,836**	**119,822**
TOTAL ASSETS	**25,239**	**2,621**	**8,155**	**16,408**	**3,770**	**6,851**	**3,806**	**5,134**	**12,347**	**3,121**	**600**	**3,351**	**8,810**	**23,495**	**26,000**	**2,033**	**3,563**	**2,119**	**2,489**	**9,558**	**6,062**	**18,130**	**193,660**
LIABILITIES																							
Deferred Tax Liabilities	-	72	(178)	(108)	-	-	33	-	572	-	18	-	232	535	-	(126)	28	-	39	-	-	756	**1,874**
Long Term loan	-	-	-	-	-	-	111	-	-	-	-	-	53	83	-	-	-	-	-	-	-	525	**772**
Current Tax provisions	-	-	88	158	-	218	38	75	(36)	117	72	24	-	234	521	38	292	-	-	-	18	34	**1,890**
Gross Outstanding Claims	6,319	123	758	3,430	210	978	983	1,083	1,346	154	42	517	1,013	1,767	1,291	105	18	51	34	3,034	131	2,709	**26,096**
IBNR	5,674	25	233	364	-	83	26	230	501	97	16	58	309	317	1,726	4	40	30	106	9	154	444	**10,448**
UPR	3,427	359	2,184	1,645	1,574	476	963	454	1,709	678	24	221	1,843	6,526	5,890	409	162	168	177	597	1,439	4,666	**35,589**
Reinsurance & Other Creditors	4,981	310	1,473	8,186	24	2,707	119	558	2,841	390	57	187	1,612	1,414	-	67	3	156	558	1,459	1,869	3,018	**31,989**
Other Liabilities	91	29	309	-	-	149	93	141	566	97	85	165	-	1,426	437	33	71	-	-	346	875	686	**5,597**
TOTAL LIABILITIES	**20,492**	**917**	**4,867**	**13,675**	**1,807**	**4,611**	**2,366**	**2,539**	**7,499**	**1,533**	**313**	**1,173**	**5,061**	**12,302**	**9,866**	**530**	**615**	**404**	**914**	**5,445**	**4,486**	**12,838**	**114,254**
SHAREHOLDERS' EQUITY																							
Share Capital	301	30	77	620	-	382	1,300	2	1	120	286	500	2,500	2,834	300	130	1,860	1,700	100	1,000	1	553	**14,596**
Share Premium	-	1,090	1,430	-	-	-	-	1,824	2,800	-	-	2,860	-	3,291	-	90	-	-	2,152	-	4,153	-	**19,690**
Revaluation & Other Reserves	1,141	-	-	-	-	3	111	354	406	7	1	7	196	63	2,267	81	243	-	80	587	492	1,235	**7,274**
Retained Profit	3,305	584	1,782	2,112	1,962	1,856	29	414	1,641	1,461	0	(1,189)	1,052	5,005	13,567	1,202	845	15	(757)	2,527	(3,071)	3,504	**37,846**
Shareholders's Equity	**4,747**	**1,704**	**3,288**	**2,732**	**1,962**	**2,240**	**1,440**	**2,595**	**4,847**	**1,588**	**287**	**2,178**	**3,748**	**11,193**	**16,134**	**1,503**	**2,948**	**1,715**	**1,575**	**4,113**	**1,576**	**5,292**	**79,406**
TOTAL EQUITY & LIABILITIES	**25,239**	**2,621**	**8,155**	**16,408**	**3,770**	**6,851**	**3,806**	**5,134**	**12,347**	**3,121**	**600**	**3,351**	**8,810**	**23,495**	**26,000**	**2,033**	**3,563**	**2,119**	**2,489**	**9,558**	**6,062**	**18,130**	**193,660**

Appendix 1C: Key Perfomance Indicators for Non-life Insurers

	Alliance	Allied	C.B.Z	Cell Insurance Company Promoter	Cell Insurance Company Cell Business	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Hamilton	Heritage	Nicoz Diamond	Old Mutual	Quality	Regal	Safel	Sanctuary	THI	Tristar	Zimnat Lion	Total/ Average
Capital Adequacy																							
Capital Position ($000)	4,747	1,704	3,288	2,732	1,962	2,240	1,440	2,595	4,847	1,588	287	2,178	3,748	11,193	16,134	1,503	2,948	1,715	1,575	4,113	1,576	5,292	**3,609**
Capital Maintenance Ratio (CMR)	154.52%	113.61%	219.21%	182.15%	130.83%	133.46%	96.02%	172.97%	221.00%	105.90%	19.12%	145.20%	249.88%	273.53%	285.47%	100.20%	196.55%	114.31%	105.00%	274.20%	105.04%	199.21%	**240.62%**
Equity/Total Assets Ratio	18.81%	65.01%	40.32%	16.65%	52.06%	32.70%	37.84%	50.54%	39.26%	50.89%	47.81%	65.00%	42.55%	47.64%	62.05%	73.93%	82.75%	80.92%	63.28%	43.03%	25.99%	29.19%	**41.00%**
Solvency Margin	38.63%	249.76%	70.69%	54.98%	55.65%	33.37%	35.42%	130.33%	55.25%	81.79%	33.00%	166.15%	64.66%	68.38%	71.37%	156.56%	191.47%	507.13%	166.40%	125.98%	44.13%	49.80%	**67.49%**
Asset Quality																							
Total Assets ($000)	25,239	2,621	8,155	16,408	3,770	6,851	3,806	5,134	12,347	3,121	600	3,351	8,810	23,495	26,000	2,033	3,563	2,119	2,489	9,558	6,062	18,130	**193,660**
Investments to Assets	29.76%	11.46%	59.23%	18.73%	100.00%	5.42%	17.73%	8.87%	37.82%	53.14%	6.92%	56.24%	27.99%	35.02%	73.57%	68.37%	10.30%	1.31%	36.16%	33.57%	42.57%	30.04%	**37.68%**
Non-Profitable Assets/Total Assets	70.24%	88.54%	40.77%	81.27%	0.00%	94.58%	82.27%	91.13%	62.18%	46.86%	93.08%	43.76%	72.01%	64.98%	26.43%	31.63%	89.70%	98.69%	63.84%	66.43%	57.43%	69.96%	**62.32%**
Fixed Assets/Total Assets	15.64%	63.55%	4.07%	3.22%	0.00%	27.41%	30.90%	43.34%	25.19%	25.24%	36.51%	12.45%	21.55%	23.38%	3.84%	19.58%	63.28%	79.16%	44.00%	11.97%	2.95%	3.76%	**16.58%**
Prescribed Assets Ratio	1.81%	0.00%	0.00%	0.00%	0.00%	0.24%	0.00%	0.58%	0.00%	2.40%	0.00%	0.60%	0.00%	2.30%	3.75%	1.87%	0.00%	0.00%	0.00%	1.36%	2.77%	1.32%	**1.39%**
Premium Debtors/Gross Premium	91.34%	109.70%	62.72%	58.43%	0.00%	93.77%	106.91%	111.35%	82.90%	14.44%	65.88%	106.86%	93.57%	63.01%	21.39%	21.41%	3.28%	78.89%	69.79%	316.12%	111.99%	82.92%	**66.50%**
Premium Debtors/Total Assets	25.40%	16.83%	32.04%	43.51%	0.00%	28.19%	25.70%	20.33%	29.32%	5.46%	27.35%	15.09%	17.67%	25.91%	8.26%	3.30%	0.39%	18.11%	17.14%	13.78%	41.94%	41.84%	**24.34%**
Reinsurance																							
Risk Retention Ratio	45.71%	82.54%	37.72%	14.70%	100.00%	81.14%	86.07%	51.28%	61.62%	51.67%	73.00%	61.79%	73.30%	62.54%	76.80%	58.15%	99.36%	69.50%	89.79%	43.13%	43.28%	51.26%	**53.33%**
Reinsurance Creditors/Reinsurance Premium	130.75%	442.00%	56.79%	78.54%	0.00%	696.67%	93.36%	122.18%	169.50%	68.43%	84.92%	103.69%	363.01%	39.07%	0.00%	51.15%	100.00%	105.30%	894.29%	615.80%	145.14%	67.68%	**96.70%**
Reinsurers' Share of O/S Claims to O/S Claims	71.41%	8.98%	32.30%	80.45%	0.00%	30.13%	7.73%	71.86%	29.58%	18.11%	25.27%	70.32%	0.00%	0.00%	26.53%	63.81%	0.00%	26.27%	0.00%	45.55%	45.05%	76.35%	**51.38%**
Reinsurers Debtors/Reinsurance Creditors	90.59%	3.57%	16.61%	33.71%	0.00%	10.88%	63.87%	139.44%	14.02%	7.13%	18.42%	194.02%	0.00%	0.00%	0.00%	100.00%	0.00%	8.51%	0.00%	94.74%	3.16%	68.54%	**41.92%**
Actuarial																							
UPR ($000)	3,427	359	2,184	1,645	1,574	476	963	454	1,709	678	24	221	1,843	6,526	5,890	409	162	168	177	597	1,439	4,666	**35,589**
IBNR ($000)	5,674	25	233	364	-	83	26	230	501	97	16	58	309	317	1,726	4	40	30	106	9	154	444	**10,448**
Net Outstanding Claims	1,807	112	513	671	210	683	907	305	948	126	31	154	1,013	1,767	949	38	18	37	34	1,652	72	641	**12,687**
Total Reserves/Total Investment Assets	145.24%	164.93%	60.67%	87.22%	47.32%	334.64%	280.84%	217.07%	67.64%	54.31%	171.52%	22.97%	128.35%	104.66%	44.78%	32.45%	60.16%	843.66%	35.16%	70.38%	64.53%	105.58%	**80.47%**
(Outstanding Claims+IBNR)/Investment Assets	99.61%	45.55%	15.46%	33.67%	5.57%	206.49%	138.19%	117.46%	31.03%	13.45%	114.76%	11.25%	53.60%	25.33%	13.99%	3.02%	15.89%	241.91%	15.49%	51.78%	8.78%	19.91%	**31.70%**
Total Reserves/Assets	43.22%	18.90%	35.93%	16.33%	47.32%	18.13%	49.81%	19.25%	25.58%	28.86%	11.86%	12.92%	35.92%	36.65%	32.94%	22.18%	6.19%	11.09%	12.72%	23.63%	27.47%	31.72%	**30.32%**
Earnings																							
Profit After Tax ($000)	261	(20)	295	389	(572)	(44)	113	(85)	183	62	145	19	232	376	1,472	91	90	62	17	347	(103)	588	**3,919**
Return on Equity	5.57%	-1.14%	10.88%	15.36%	-25.45%	-2.01%	8.36%	-3.27%	3.79%	4.00%	30.52%	0.89%	6.68%	3.41%	9.63%	6.06%	3.11%	3.66%	1.10%	7.77%	-6.57%	11.63%	**5.05%**
Return on Assets	1.06%	-0.74%	4.31%	3.50%	-16.16%	-0.63%	2.95%	-1.66%	1.52%	2.14%	15.77%	0.58%	2.62%	1.67%	6.03%	4.36%	2.54%	3.22%	0.73%	3.38%	-1.76%	3.63%	**2.16%**
Loss Ratio	60.98%	51.83%	44.32%	56.33%	38.50%	37.62%	23.56%	49.37%	56.27%	46.48%	4.91%	38.37%	19.26%	34.80%	46.09%	8.00%	-3.00%	25.83%	25.84%	-10.21%	25.83%	36.01%	**40.28%**
Net Commission Ratio	5.97%	-10.74%	0.66%	-37.11%	0.00%	9.32%	9.10%	-9.30%	9.95%	17.13%	18.88%	-4.00%	18.28%	6.92%	2.59%	15.73%	9.33%	-8.08%	4.26%	28.91%	9.13%	2.23%	**4.47%**
Net Expense Ratio	30.34%	84.05%	26.76%	57.76%	122.59%	61.28%	57.51%	83.72%	27.95%	24.39%	31.68%	57.80%	49.40%	39.28%	26.52%	45.60%	66.40%	43.39%	77.48%	35.29%	74.16%	42.07%	**43.03%**
Combined Ratio	97.28%	125.14%	71.74%	76.98%	161.09%	108.22%	90.17%	123.79%	94.16%	88.00%	55.48%	92.17%	86.93%	81.00%	75.20%	69.33%	72.73%	61.15%	107.58%	53.98%	109.12%	80.30%	**87.79%**
Investment Income/NPW Ratio	3.99%	2.04%	4.27%	-0.21%	2.48%	0.59%	-1.18%	-0.17%	3.76%	0.77%	0.00%	0.69%	8.76%	1.51%	4.20%	-14.84%	0.01%	0.45%	4.09%	53.48%	-8.96%	1.35%	**2.49%**
Investment Income/Total Financial Assets	1.48%	1.77%	1.33%	-0.12%	1.17%	2.66%	-1.18%	-0.15%	2.11%	0.18%	0.00%	0.06%	3.86%	0.81%	1.51%	-1.01%	0.01%	5.42%	2.49%	2.56%	-1.95%	0.84%	**1.05%**
Liquidity																							
Working Capital ($000)	(315)	(15)	2,959	1,018	1,763	487	355	283	2,164	(75)	146	149	(874)	3,910	13,319	(157)	697	37	474	901	342	3,274	**30,843**
Current ratio	98.46%	98.28%	164.93%	107.44%	197.51%	110.92%	116.44%	111.81%	131.21%	94.77%	163.85%	114.79%	82.56%	136.23%	241.26%	68.41%	228.07%	109.21%	151.82%	117.67%	109.47%	128.16%	**128.59%**
Acid Test ratio	31.29%	24.53%	102.71%	22.02%	197.51%	8.75%	26.46%	15.09%	65.00%	52.03%	22.25%	10.94%	43.23%	49.25%	189.42%	22.22%	144.69%	6.89%	98.48%	52.10%	18.09%	28.93%	**53.47%**
Market Share of Total Liquid Assets	11.26%	0.38%	8.10%	5.25%	6.30%	0.66%	0.99%	0.62%	7.99%	1.21%	0.06%	0.19%	3.82%	9.18%	29.77%	0.18%	0.64%	0.05%	1.59%	4.69%	1.15%	5.92%	**100%**
Market Shares																							
Market Share Based on GWP	9.90%	0.57%	5.88%	17.24%	2.64%	2.91%	1.29%	1.32%	6.16%	1.67%	0.35%	0.67%	2.35%	13.63%	14.16%	0.44%	0.60%	0.69%	0.86%	0.59%	3.20%	12.90%	**100%**
Market Share Based on NWP	8.49%	0.88%	4.16%	4.75%	4.94%	4.42%	2.08%	1.27%	7.12%	1.61%	0.48%	0.77%	3.22%	15.98%	20.39%	0.48%	1.13%	0.89%	1.45%	0.48%	2.60%	12.40%	**100%**
Market Share Based on Total Assets	13.03%	1.35%	4.21%	8.47%	1.95%	3.54%	1.97%	2.65%	6.38%	1.61%	0.31%	1.73%	4.55%	12.13%	13.43%	1.05%	1.84%	1.09%	1.29%	4.94%	3.13%	9.36%	**100%**

Appendix 2A: Statement of Comprehensive Income-Reinsurers U$ '000									
	Baobab Re	Colonnade Re	FBC Re	FMRE	Grand Re	Tropical Re	ZB Re	Zep - Re Country Office	Total
Gross Written Premiums	**3,159**	**812**	**4,103**	**5,343**	**2,997**	**3,847**	**5,387**	**3,167**	**28,816**
Reinsurance Premiums	541	240	610	1,013	1,288	1,314	1,244	438	**6,688**
Net Written Premiums	**2,617**	**572**	**3,493**	**4,330**	**1,709**	**2,533**	**4,143**	**2,729**	**22,127**
Unearned Premium	703	31	319	981	691	293	1,709	(61)	**4,666**
Net Earned Premiums	**1,915**	**541**	**3,175**	**3,350**	**1,018**	**2,240**	**2,434**	**2,790**	**17,461**
Net Incurred Claims	1,045	(62)	1,104	1,399	140	907	199	762	**5,493**
Net Commission Incurred	310	33	965	800	320	576	1,133	937	**5,073**
Technical Result	**560**	**569**	**1,106**	**1,150**	**558**	**757**	**1,102**	**1,091**	**6,895**
Operating Expenses	1,022	248	612	918	322	338	794	179	**4,434**
Underwriting Result	**(462)**	**321**	**494**	**232**	**236**	**419**	**309**	**912**	**2,460**
Investment									
Investment Income	108	6	214	97	(3)	78	173	62	**735**
Unrealised Gains/Losses	(171)	-	34	(138)	-	(0)	(42)	-	**(317)**
Other Income	-	2	7	4	-	17	-	-	**31**
Profit Before Tax	**(524)**	**329**	**749**	**195**	**233**	**514**	**440**	**974**	**2,909**
Taxation	-	85	193	21	-	132	135	-	**565**
Profit After Tax	**(524)**	**244**	**556**	**174**	**233**	**382**	**305**	**974**	**2,344**

Appendix 2B: Statement of Financial Position-Reinsurers US$'000									
	Baobab Re	Colonnade Re	FBC Re	FMRE	Grand Re	Tropical	ZB Re	Zep - Re Country Office	Total
ASSETS									
Non-Current Assets									
Fixed Assets	274	546	252	262	132	578	581	400	**3,026**
Investments	31,545	37	1,700	1,938	8,790	763	1,485	-	**46,260**
Other Non Current Assets	1,175	-	1,400	-	167	244	-	-	**2,986**
	32,994	**583**	**3,352**	**2,201**	**9,089**	**1,586**	**2,067**	**400**	**52,272**
Technical Assets									
Reinsurers' Share of O/S Claims	2,249	171	105	58	305	422	-	-	**3,310**
Deferred Acquisition Cost (DAC)	911	5	958	1,075	588	325	-	683	**4,544**
	3,160	**176**	**1,064**	**1,133**	**893**	**746**	**-**	**683**	**7,855**
Current Assets									
Cash & cash equivalents	5,503	52	8,271	4,587	1,152	540	8,029	3,485	**31,619**
Money Market Investments	655	455	-	-	-	3,095	-	-	**4,204**
Current Prescribed Assets	29	51	2,022	637	76	474	500	-	**3,790**
Premium Receivables	3,460	1,907	2,949	4,428	2,861	1,895	2,959	4,185	**24,646**
Inventory and Other Debtors	3,424	288	144	345	36	351	237	(1,113)	**3,712**
	13,072	**2,753**	**13,386**	**9,996**	**4,126**	**6,356**	**11,725**	**6,557**	**67,971**
TOTAL ASSETS	**49,226**	**3,512**	**17,801**	**13,330**	**14,108**	**8,688**	**13,792**	**7,640**	**128,097**
Liabilities									
Deferred Tax Liabilities	-	4	(237)	497	1	-	314	-	**579**
Long term loan	-	-	-	-	300	-	-	-	**300**
Current Tax provisions	43	110	115	-	-	465	-	-	**734**
Gross Outstanding Claims	4,881	344	1,222	437	699	1,123	229	1,504	**10,439**
IBNR	315	29	794	1,379	154	813	664	1,645	**5,792**
UPR	2,429	674	3,339	3,617	1,572	1,623	3,041	2,284	**18,578**
Retrocession Creditors	3,717	-	1,361	1,037	1,140	537	334	-	**8,126**
Other Creditors	6,717	373	378	-	181	109	535	-	**8,293**
Total Liabilities	**18,102**	**1,533**	**6,973**	**6,967**	**4,047**	**4,670**	**5,116**	**5,433**	**52,842**
SHAREHOLDERS' EQUITY									
Share Capital	500	9	600	1	400	0	5	-	**1,515**
Share Premium	30,526	1,337	2,203	3,934	-	410	2,495	-	**40,905**
Revaluation & Other Reserves	7,329	26	2,870	254	5,260	-	11	-	**15,749**
Retained Profit	(7,231)	606	5,155	2,175	4,401	3,608	6,165	2,207	**17,086**
Shareholders's Equity	**31,124**	**1,978**	**10,828**	**6,363**	**10,061**	**4,018**	**8,676**	**2,207**	**75,256**
TOTAL EQUITY & LIABILITIES	**49,226**	**3,512**	**17,801**	**13,330**	**14,108**	**8,688**	**13,792**	**7,640**	**128,097**

Appendix 2C: Key Perfomance Indicators for Reinsurers									
	Baobab Re	Colonnade Re	FBC Re	FMRE	Grand Re	Tropical Re	ZB Re	Zep - Re Country Office	Total/ Average
Indicator									
Capital Adequacy									
Capital Position ($ 000)	31,124	1,978	10,828	6,363	10,061	4,018	8,676	2,207	**9,407**
Capital Maintenance Ratio (CMR)	1789.76%	131.89%	381.75%	183.38%	670.75%	154.74%	275.35%	96.15%	**421.66%**
Equity/Total Assets Ratio	63.23%	56.33%	60.83%	47.73%	71.32%	46.24%	62.90%	28.89%	**58.75%**
Solvency Margin	447.44%	76.43%	95.44%	45.84%	226.13%	38.69%	68.84%	24.04%	**105.41%**
Asset Quality									
Total Assets ($ 000)	49,226	3,512	17,801	13,330	14,108	8,688	13,792	7,640	**128,097**
Investments to Assets	76.65%	15.89%	67.37%	53.56%	71.01%	56.09%	69.11%	45.61%	**66.61%**
Fixed Assets/Total Assets	0.56%	14.75%	1.41%	1.97%	0.93%	6.66%	4.21%	5.23%	**2.34%**
Prescribed Assets Ratio	0.06%	1.46%	11.36%	4.78%	0.54%	5.46%	3.63%	0.00%	**2.96%**
Premium Debtors/Gross Premium	109.55%	234.85%	71.88%	82.87%	95.48%	49.26%	54.93%	132.14%	**85.53%**
Premium Debtors/Total Assets	7.03%	54.30%	16.57%	33.22%	20.28%	21.81%	21.46%	54.78%	**19.24%**
Retrocession									
Risk Retention Ratio	82.86%	70.41%	85.14%	81.05%	57.02%	65.85%	76.91%	86.16%	**76.79%**
Retrocession Creditors/Retrocession Premium	686.63%	0.00%	223.27%	102.35%	88.52%	40.90%	26.84%	0.00%	**121.50%**
Reinsurers' Share of O/S Claims to O/S Claims	46.08%	49.63%	8.63%	13.35%	43.60%	37.56%	0.00%	0.00%	**31.71%**
Actuarial									
UPR	2,429	674	3,339	3,617	1,572	1,623	3,041	2,284	**18,578**
IBNR	315	29	794	1,379	154	813	664	1,645	**5,792**
Net Outstanding Claims	2,631	173	1,117	379	394	701	229	1,504	**7,129**
Total Reserves/Investment Assets	14.25%	156.91%	43.78%	75.29%	21.16%	64.38%	41.27%	155.89%	**36.91%**
(Outstanding Claims+IBNR)/Investment Assets	13.77%	66.82%	16.81%	25.44%	8.51%	39.72%	9.37%	90.36%	**19.02%**
Total Reserves/Total Assets	10.92%	24.93%	29.49%	40.32%	15.03%	36.11%	28.52%	71.11%	**24.59%**
Earnings									
Profit After Tax	(524)	244	556	174	233	382	305	974	**2,344**
Return on Equity	-1.68%	12.33%	5.14%	2.74%	2.31%	9.51%	3.52%	44.11%	**3.11%**
Return on Assets	-1.07%	6.95%	3.12%	1.31%	1.65%	4.40%	2.21%	12.74%	**1.83%**
Loss Ratio	54.56%	-11.46%	34.76%	41.77%	13.75%	40.48%	8.19%	27.31%	**31.46%**
Net Commission Ratio	16.18%	6.17%	30.39%	23.89%	31.40%	25.72%	46.53%	33.58%	**29.05%**
Net Expense Ratio	53.39%	45.92%	19.29%	27.42%	31.65%	15.10%	32.60%	6.43%	**25.40%**
Combined Ratio	124.13%	40.62%	84.44%	93.08%	76.80%	81.30%	87.31%	67.32%	**85.91%**
Investment Income/NPW Ratio	-2.38%	1.02%	7.10%	-0.96%	-0.19%	3.08%	3.17%	2.27%	**1.89%**
Investment Income/Total Financial Assets	-0.17%	1.04%	2.07%	-0.58%	-0.03%	1.60%	1.38%	1.78%	**0.49%**
Liquidity									
Working Capital	4,847	1,768	7,855	4,162	1,453	2,540	7,144	1,808	**31,577**
Current ratio	142.58%	252.36%	219.11%	159.74%	140.74%	155.70%	255.92%	133.28%	**171.36%**
Acid Test ratio	54.09%	43.66%	125.42%	65.83%	32.31%	79.69%	175.25%	64.15%	**80.96%**
Market Shares									
Market Share Based on GPW	10.96%	2.82%	14.24%	18.54%	10.40%	13.35%	18.70%	10.99%	**100%**
Market Share Based on NPW	11.83%	2.58%	15.79%	19.57%	7.72%	11.45%	18.72%	12.33%	**100%**
Market Share Based on Total Assets	38.43%	2.74%	13.90%	10.41%	11.01%	6.78%	10.77%	5.96%	**100%**

Appendix 3A:Statement of Comprehensive Income for Brokers U$'000																													
	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Coverlink	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraserve	L.A. Guard	Marsh	Minerva - Risk Solutions	Momentum	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total
Premium Written	1,983	18	223	44	87	1,160	541	5	1,678	406	663	130	2	2,914	1,181	635	401	3,051	5,823	971	18	104	1,051	22	1,182	514	314	1,611	**26,730**
Premium Payable	1,648	15	191	38	71	953	452	4	1,395	305	547	103	2	2,407	958	536	326	2,540	4,996	825	15	91	789	19	966	401	249	1,349	**22,194**
Brokerage Commission	335	3	31	5	16	207	89	1	283	100	116	26	0	508	224	100	75	511	827	146	2	13	262	3	216	113	64	262	**4,536**
less Commission paid	17	0	0	1	0	0	0	0	7	0	0	2	0	126	113	0	0	2	0	0	0	3	6		0	0	0	0	**276**
Net Brokerage Commission	318	3	31	4	16	207	89	1	276	100	116	24	0	381	111	100	75	509	827	146	2	10	256	3	216	113	64	262	**4,260**
Other Income	41	2	0	13	0	0	0	0	30	19	1	0	4	1	5	11	0	4	0	46	15	40	0	0	4	6	11	23	**274**
Admin Expenses	354	3	19	16	15	197	59	19	255	189	129	15	4	228	100	79	78	444	857	130	15	59	285	4	160	107	58	296	**4,175**
Profit Before Tax	4	1	12	1	0	10	30	(18)	50	(70)	(12)	9	0	154	15	32	(4)	68	(29)	62	1	(8)	(29)	(0)	60	12	17	(11)	**359**
Taxation	2	0	2	0	0	3	0	0	14	0	0	0	0	40	0	8	0	17	0	19	0	0	0	0	0	3	5	(3)	**110**
Profit after Tax	2	1	10	0	0	8	30	(18)	36	(70)	(12)	9	0	114	15	24	(4)	51	(29)	43	1	(8)	(29)	(0)	60	9	12	(8)	**249**

APPENDIX 3B:STATEMENT OF FINANCIAL POSITION-US$('000)																													
	Alexander Forbes	Ambassador	Armour Khan	Auto & General	Broksure	Capitol	Care	Coverlink	Eaton & Youngs	Eureka	Glenrand	Goldstick	Hostcare	HRIB	Hunt Adams	Insuraserve	L.A Guard	Marsh	Minerva - Risk Solutions	Momentum	Paul Mkondo	Perpro	Progressive	Rainbow	SATIB	TIB	Victory	ZIB	Total
Shareholder's Equity																													
Share Capital	977	128	32	310	20	116	77	28	100	50	50	0	5	1	1	0	100	5	0	100	20	40	120	15	0	50	200	50	**2,595**
Share Premium	-	-	-	82	68	-	37	65	-	-	-	-	-	-	275	-	-	-	-	-	126	-	-	-	-	-	133	-	**787**
Non-Distributable Reserves	-	-	100	35	12	121	60	-	82	10	26	115	140	10	134	-	33	412	1,492	319	32	20	100	-	100	-	-	188	**3,543**
Retained Income	(442)	1	10	0	0	368	12	(14)	241	185	46	9	-	385	(288)	171	45	460	(991)	16	1	102	512	(0)	124	65	12	(27)	**1,003**
shareholder's Equity	535	129	142	428	101	606	186	79	423	246	122	124	145	396	122	171	179	878	501	434	179	162	732	15	224	115	345	212	**7,929**
Current liabilities																													
Payable Premiums	897	15	191	-	98	169	-	3	309	72	157	-	2	878	648	339	102	374	4,042	904	15	-	858	0	173	211	65	57	**10,580**
Other	-	-	-	-	-	-	-	-	-	-	-	139	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	**139**
Brokers commision payable	-	-	-	-	-	-	-	-	-	-	-	-	-	21	-	-	-	-	-	-	-	-	-	-	-	-	-	-	**21**
Provisions	-	-	-	-	-	34	-	-	17	-	26	-	-	23	-	-	-	-	54	-	-	-	-	-	-	-	-	-	**154**
Sundry creditors	-	-	-	-	-	-	1	-	-	-	49	-	-	1	-	-	-	-	-	-	-	-	-	-	-	-	-	82	**132**
Taxation	-	0	-	-	-	-	-	-	-	(26)	-	-	-	27	-	-	-	-	-	-	-	-	-	-	-	-	-	-	**1**
Other	204	3	-	2	-	10	-	-	-	1,616	103	-	-	-	553	-	-	412	1,789	38	24	2	287	-	153	41	-	490	**5,728**
Total Current Liabilities	1,101	19	191	2	98	213	1	3	326	1,662	335	139	2	949	1,202	339	102	786	5,885	942	40	2	1,145	0	326	253	65	629	**16,756**
TOTAL LIABILITIES & EQUITY	**1,636**	148	**333**	**430**	**198**	**835**	**187**	**113**	**749**	**1,908**	**456**	263	156	**1,626**	**1,361**	**754**	281	**1,684**	**6,386**	**1,486**	**219**	**173**	**2,359**	**429**	**607**	**368**	**428**	**841**	**26,414**
Non - Current Assets																													
Property and Equipment	-	-	70	55	-	6	-	-	-	-	-	-	-	-	-	-	-	-	211	-	-	-	-	-	-	1	12	-	**355**
Land & Buildings	-	65	150	140	-	404	142	65	189	52	-	238	150	380	-	250	115	150	-	-	96	-	180	400	115	-	15	265	**3,559**
Furniture and Fittings	17	6	30	35	14	21	4	9	11	9	-	2	3	8	5	28	6	33	283	18	23	18	12	4	12	7	7	14	**639**
Motor Vehicles	146	27	20	86	20	27	-	32	-	42	31	17	-	223	51	34	17	11	167	75	10	38	36	15	-	36	25	18	**1,204**
Computer Equipment	18	6	10	6	15	3	0	5	-	5	-	6	-	32	3	9	2	8	63	5	1	4	13	4	11	9	8	25	**270**
Computer Software	-	-	5	2	0	-	0	-	-	-	-	-	-	-	-	-	0	0	61	-	-	-	1	-	-	-	6	15	**91**
Investments	-	-	-	35	27	57	-	-	19	14	-	-	-	-	-	7	7	-	-	524	17	-	30	-	-	-	118	44	**896**
Other	170	-	-	-	-	-	-	-	-	-	-	-	2	48	1	-	-	-	-	-	5	2	1	-	3	-	200	-	**433**
Total Non- Current Assets	351	105	285	358	77	518	146	111	218	122	31	263	155	691	60	327	147	202	785	621	151	62	273	423	140	53	390	380	**7,446**
Current Assets																													
Commission Receivable	-	-	31	4	-	-	18	-	-	-	-	-	0	793	-	-	-	160	-	82	-	-	1,667	3	-	-	13	392	**3,163**
Premium Receivables	-	-	-	-	-	-	-	-	-	-	172	-	-	-	-	-	-	-	2,934	-	-	-	-	-	240	-	-	-	**3,346**
Accured Investment Income	-	-	6	41	-	-	-	-	-	911	137	-	-	-	-	0	30	-	-	-	24	-	-	-	-	-	11	-	**1,160**
Other Debtors & Inventory	1,010	23	11	-	93	80	0	2	82	745	60	-	0	18	886	337	101	340	856	759	42	4	416	-	37	100	8	42	**6,052**
Cash & Cash Equivalents	275	20	-	27	28	237	22	1	449	130	55	0	0	124	415	90	2	962	1,812	24	2	107	4	3	190	215	6	27	**5,228**
Total Current Assets	1,285	43	48	71	121	317	41	2	531	1,786	425	0	1	935	1,301	427	134	1,462	5,602	866	68	111	2,086	6	467	315	38	461	**18,949**
TOTAL ASSETS	1,636	148	333	**430**	**198**	**835**	**187**	**113**	**749**	**1,908**	**456**	263	156	**1,626**	**1,361**	**754**	281	**1,664**	**6,386**	**1,487**	**219**	**173**	**2,359**	**429**	**607**	**368**	**428**	**841**	**26,395**

Appendix 4A: Statement of Comprehensive Income for Reinsurance Brokers ($)

	Afro-Asian	Minerva Re	Pan African	RBI	Total
Premium Written	63,994	11,665,050	5,903,824	1,273,580	**18,906,448**
Premium due to Reinsurers	61,345	8,675,402	5,711,435	1,235,691	**15,683,873**
Brokerage Commission	2,649	2,989,648	192,389	37,890	**3,222,576**
less Commission Paid	-	2,377,637	-	-	**2,377,637**
Net Brokerage Commission	2,649	612,011	192,389	37,890	**844,939**
Other Income	-	2,515	19,340	4,236	**26,091**
Less Administration Expenses	21,901	309,991	137,157	48,289	**517,338**
Profit before Tax	(19,252)	304,535	74,572	(6,163)	**353,692**
Taxation	-	78,418	22,954	(1,649)	**99,723**
Profit/(Loss) after Tax	**(19,252)**	**226,117**	**51,618**	**(4,515)**	**253,969**

Appendix 4B: Statement of Financial Position for Reinsurance Brokers ($)

	Afro-Asian	Minerva Re	Pan African	RBI	Total
Share Capital	10	4	1,000	300,000	**301,014**
Share Premium	96,608	**-**	70,000	-	**166,608**
Non-Distributable Reserves	29,438	-		21,171	**50,609**
Retained Income	(105,025)	1,374,674	431,279	(136,460)	**1,564,468**
Shareholder's Equity	**21,031**	**1,374,678**	**502,279**	**184,711**	**2,082,699**
Liabilities					
Non-Current Liabilities	**-**	**-**	**-**	**-**	**-**
Current Liabilities					
Payable Premiums	23,752.61	11,292,607	1,164,250	979,072	**13,459,681**
Provisions		305,840	69,723	-	**375,563**
Sundry creditors			38,651	-	**38,651**
Other	-	33,797	153,756	166,770	**354,323**
Total Current Liabilities	**23,753**	**11,632,244**	**1,426,380**	**1,145,842**	**14,228,219**
TOTAL LIABILITIES & EQUITY	**44,784**	**13,006,922**	**1,928,659**	**1,330,553**	**16,310,918**
Land & Buildings	-	-	215,000	-	**215,000**
Furniture and Fittings	6,121	9,123	14,485		**29,729**
Motor Vehicles	9,750	-	60,217	-	**69,967**
Computer Equipment	1,258	1,639	10,499	1,377	**14,773**
Investments		1,086			**1,086**
Other	-	-		139,305	**139,306**
Total Non- Current Assets	**25,526**	**11,848**	**300,201**	**142,125**	**454,174**
Premium Receivable		11,469,908	459,680	-	**11,929,588**
Other Debtors & Inventory	550	467,851	222,818	779,572	**1,470,791**
Cash & Cash Equivalents	18,708	1,057,315	945,960	408,856	**2,430,839**
Total Current Assets	**19,258**	**2,995,074**	**1,628,458**	**1,188,428**	**15,831,217**
TOTAL ASSETS	**44,784**	**13,006,922**	**1,928,659**	**1,330,553**	**16,310,918**

Appendix 5: List of Registered Loss Assessors/Adjustors/Investigators as at 31 December 2014

Name	Address
1. Alpha & Omega Risk Management	26 Worcester Road, Eastlea, Harare
2. Autoplan Risk Management Consultancy	4338 Auckland Road, Southerton, Harare
3. Brilliant Assessors	35 Bold & Beautiful, 111A Fife Street, Bulawayo
4. Campbell & Prevost	113 Bishop Gaul Avenue, Kensington, Harare
5. Fornicle Risk Management Consultancy	11 Dendera Way, Zengeza 5, Chitungwiza
6. Golden Gate Risk and Loss Assessors	P.O. Box CY 620 Causeway Harare
7. Guarantee Risk Management Consultancy	113 Bishop Gaul Avenue, Kensington, Harare
8. Lane Risk Management Consultancy	Suite 3 &4 Stranchans Building Robert Mugabe
9. LM Consultancy (Pvt) Ltd	8-15th Avenue, Mabelreign, Harare
10. Marin Assessors (Pvt) Ltd	16 Boscobel Drive West, Highlands, Harare
11. Markar Loss Assessors	IT Centre 117 Robert Mugabe Cnr. 3rd Harare
12. Millenium Risk Management Consultancy	113 Bishop Gaul Avenue, Kensington, Harare
13. Mornglows Assessors	3rd Floor, Pioneer House 8th Av/Fife St Bulawayo
14. New Generation Loss Adjusters	22 Brentwood Road, Riverside, Bulawayo
15. On Time Assessors (Pvt) Ltd	1409 Knowe, Norton
16. Persam Loss Assessors	40 Kwame Nkrumah, P.O. Box GT895, Harare
17. Ponnez Risk Management	7 Alfred Road, Greendale, Harare
18. Preferred Loss Assessors	27 George Silundika P.O. Box 6861, Harare
19. Tritate Risk Management Consultant	4414-62nd Crescent, Glenview 3, Harare
20. Vision Insurance Assessors	69 Samora Machel Avenue, Bard House, Harare
21. Wave Risk Management Consultancy	33 Avonlea Drive, Greencroft, Avonlea, Harare